



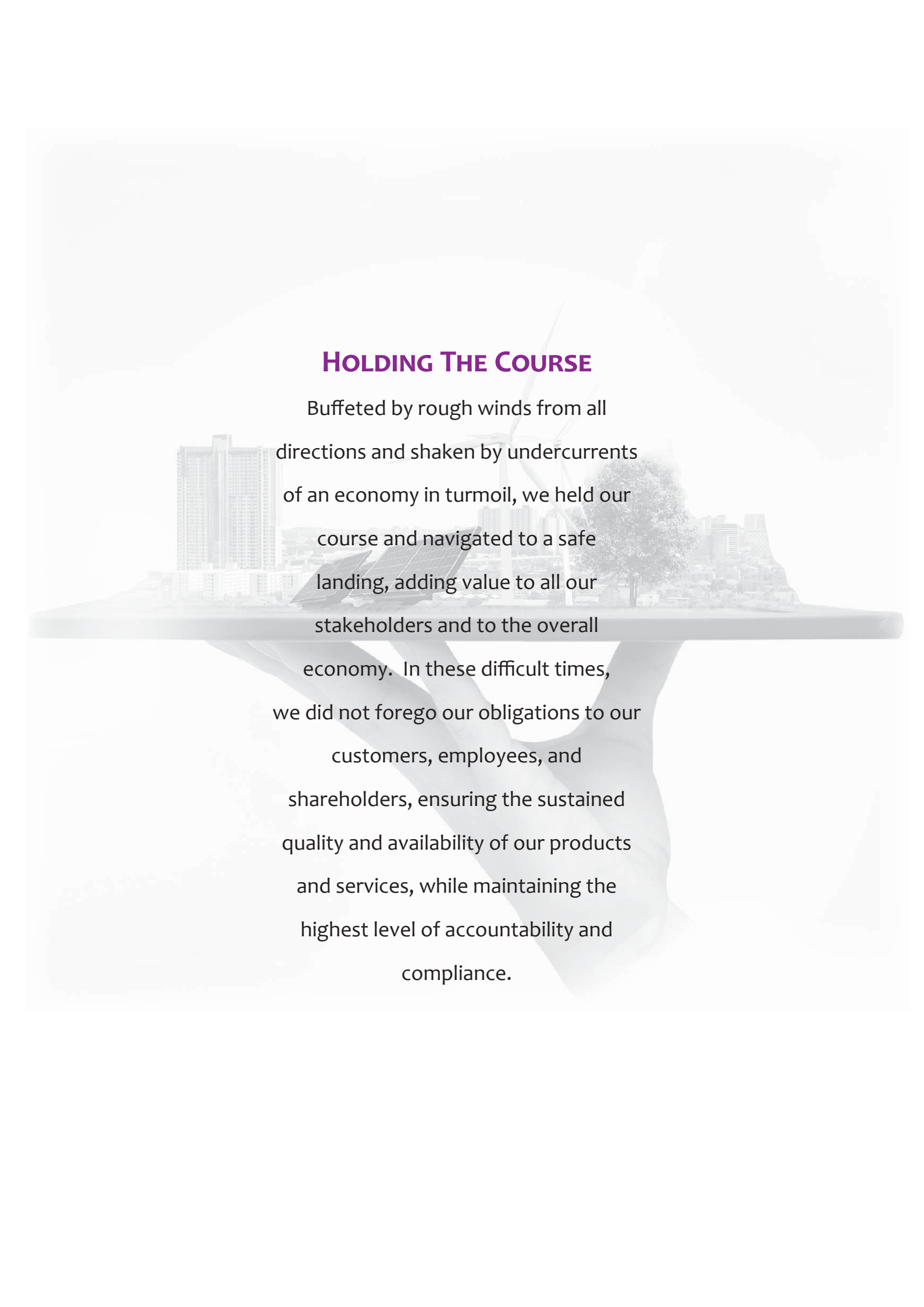
HOLDING THE COURSE

Vision

ATTRACT AND RETAIN CUSTOMERS FOR LIFE

Mission

ALWAYS THERE TO SERVE YOU BETTER



HOLDING THE COURSE

Buffeted by rough winds from all directions and shaken by undercurrents of an economy in turmoil, we held our course and navigated to a safe landing, adding value to all our stakeholders and to the overall economy. In these difficult times, we did not forego our obligations to our customers, employees, and shareholders, ensuring the sustained quality and availability of our products and services, while maintaining the highest level of accountability and compliance.

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FINANCIAL HIGHLIGHTS

		2021/2022	2020/2021	Change %
Operating Results				
Revenue	LKR '000	4,329,171	3,129,718	38.32
Gross Profit	LKR '000	575,314	473,355	21.54
Operating Profit	LKR '000	249,797	232,733	7.33
Profit before Taxation	LKR '000	134,488	163,615	-17.80
Profit after Taxation	LKR '000	104,215	165,288	-36.95
Gross Dividend Paid	LKR '000	15,332	7,666	100.00
Interest Coverage	No. Times	2.17	3.37	-35.66
Gross Profit Margin	%	13.29	15.12	-12.13
Operating Profit Margin	%	5.77	7.44	-22.41
Net Profit Margin	%	2.41	5.28	-54.42
Financial Position				
Total Assets	LKR '000	5,337,098	3,793,248	40.70
Total Debt	LKR '000	1,224,187	821,295	49.06
Current Assets	LKR '000	3,484,745	2,043,286	70.55
Current Liabilities	LKR '000	3,232,217	1,782,387	81.34
Shareholders' Fund	LKR '000	1,758,602	1,656,789	6.15
Gearing (D/D+E)	%	41.04	33.14	23.83
Current Ratio	No. Times	1.08	1.15	-6.00
Return on Assets (ROA)	%	1.95	4.36	-55.19
Return on Capital Employed (ROCE)	%	7.36	9.46	-22.20
Shareholder Information				
Return on Equity (ROE)	%	5.93	9.98	-40.60
Earnings per Share	LKR	20.39	32.34	-36.95
Dividend per Share	LKR	3.00	1.50	100.00
Market Capitalization	LKR '000	826,633	815,134	1.41
Market Price as at 31st March	LKR	161.75	159.50	1.41
Price Earnings Ratio	No. Times	7.93	4.93	60.84
No. of Shares	Nos.	5,110,560	5,110,560	0.00
Net Assets per Share	LKR	344.11	324.19	6.15

FINANCIAL CALENDAR	
1 st Quarter Results 2021/2022	19 th August 2021
Annual Report 2020/2021	30 th August 2021
39 th Annual General Meeting	29 th September 2021
2 nd Quarter Results 2021/2022	12 th November 2021
3 rd Quarter Results 2021/2022	08 th February 2022
4 th Quarter Results 2021/2022	26 th May 2022
40 th Annual General Meeting	28 th September 2022



CHAIRPERSON'S STATEMENT

Dear Shareholders,

On behalf of the Board of Directors, I welcome you to the 40th Annual General Meeting of Abans Electricals PLC, and I am proud to present the Annual Report and Financial Statements of your Company for the financial year ended 31st March 2022.



**NONETHELESS, YOUR
COMPANY HAS DEMONSTRATED
EXCEPTIONAL RESILIENCE AND
RESOLVE AND CONCLUDED THE
YEAR ON A PROFITABLE FOOTING,
AND A STRONG FOUNDATION TO
FACE THE IMPENDING
CHALLENGES OF THE NEW
FINANCIAL YEAR.**

As you are all well aware, we are currently at a unique juncture in Sri Lankan history. In this time of turbulence, it must be understood that the performance of your Company for the 12 months from April 1st 2021 to March 31st 2022, was unavoidably impacted by the combination of social, political and economic events that transpired. The global environment too, remained somewhat unstable

during this period due to recurrent bouts of the COVID-19 pandemic disrupting global supply chains. Therefore, Abans Electricals PLC faced a multiplicity of not only domestic but also international impediments throughout the year. Nonetheless, your Company has demonstrated exceptional resilience and resolve and concluded the year on a profitable footing, and a strong foundation to face the impending challenges of the new financial year.

OUR OPERATING ENVIRONMENT

In 2021, developing and developed countries alike, built resistance to repetitive waves of COVID-19 mutations. Consequently, the global economic growth rate, which shrank by 3.3% in 2020, rebounded to a 5.7% growth in 2021. However, global market recovery was below expectation and the global economy entered 2022 on a weaker standing than anticipated. Many countries experienced rising poverty levels and higher inflation in the wake of mounting energy costs and supply chain disruptions, and many poorer nations lagged behind in vaccination against COVID-19.

The Sri Lankan economy initially rebounded strongly from 2020 COVID-19 impacts with an economic growth of 8.0% year-on-year in the first half of 2021. Unfortunately, this recovery began backtracking in the second half, and the country achieved only a 3.7% growth by the end of 2021.

The corporate financial year commenced in April 2021 with a COVID-19 outbreak, followed by another, more severe episode in August, and an island-wide curfew was imposed from 21st August to end September 2021. While essential economic activities were permitted during this period of COVID-19 restrictions, both global and domestic conditions derailed the economic growth momentum. The country's high level of import dependence transmitted global price increases into local markets, resulting in repeated price increases in fuel, gas, freight costs, essential food items such as milk foods and wheat. Economic recovery was further impeded by extended power cuts.

In a bid to contain the rapid inflation in the country, the Central Bank started increasing market interest rates from mid-August 2021, which caused the cost of credit to surge. Meanwhile, the external situation continued to deteriorate with remittance inflows and tourist arrivals declining, leading to a foreign exchange crisis. On 7th March 2022, the Sri Lankan rupee, which was held at LKR 203/- per US Dollar, was allowed to float and fell to LKR 299/- by the end of the month, and continued to plummet.

While the consumer durables sector enjoyed robust demand for the first half of the year, fuelling growth, supply side difficulties worsened as the year progressed. The sector had to cope with a surge in

CHAIRPERSON'S STATEMENT

global freight rates, import restrictions, a severe foreign exchange shortage, rupee depreciation and increased prices of raw materials, commodities and energy. Product prices were revised upwards to offset this increase in costs, and consumer demand commenced a downward trajectory in the latter part of the year.

CREATING VALUE FOR ALL STAKEHOLDERS

It is noteworthy that Abans Electricals PLC has continued to meet customer demands and enhance shareholder value during this extremely difficult year. While sourcing imported raw materials for local production remained a key challenge during the year, by working closely with suppliers and banking partners, the Company has built-up high-quality reserve stocks to ensure business continuity in the new financial year, while sustaining Abans' proven quality standards. The Company has also made capital investments to support future business expansion, depending on market demand conditions.

Operational excellence through an ongoing focus on process efficiencies and productivity improvements was a priority during the year. We also focused on supporting our employees, through this difficult period, by emphasising physical and mental wellbeing.

Our strategic decision to adopt solar power at our facilities and our backward integrated, local manufacturing model, together with ongoing cost containment measures, were crucial in safeguarding the bottom line against the environment of spiralling costs. Consequently, despite the unprecedented rise in operating costs, a net profit of LKR 104.22 Mn was achieved for the year, which boosted the shareholders' equity by 6.15% to LKR 1.76 Bn.



**CONSEQUENTLY, DESPITE
THE UNPRECEDENTED RISE IN
OPERATING COSTS, A NET PROFIT
OF LKR 104.22 MN WAS ACHIEVED
FOR THE YEAR, WHICH BOOSTED
THE SHAREHOLDERS' EQUITY BY
6.15% TO LKR 1.76 BN.**

To ensure fair returns for our shareholders, a final dividend of LKR 3.00 per ordinary voting share was distributed in 2020/21 for a total pay-out of LKR 15.33 Mn. While the Stock Market lost value heavily during the year, it is noteworthy that the share price of Abans Electricals gained by 1.41% as at March 31st 2022 from March 31st 2021, to close at LKR 161.75 per share, demonstrating market confidence in the

Company, even under the volatile conditions of the year.

I kindly request our shareholders to refer the Management Discussion section of this annual report for greater details on the financial performance of the Company for the year ended 31st March 2022 and for information on the Company's other capitals.

LEADERSHIP AND GOVERNANCE

Abans Electricals PLC did not face any fines, or penalties, for noncompliance with any applicable regulations during the year. All statutory obligations and payments have been made on time, and sound governance systems, including continuous risk monitoring, internal controls and external audits, were upheld throughout the year.

Sound leadership and good governance were key to ensuring sustainable growth during this highly unpredictable time. The Board and Board subcommittees, and management teams worked as one to navigate the unexpected challenges and changes to the risk profile during the year, and to safeguard the best interests of shareholders and other stakeholders.



**SOUND LEADERSHIP AND
GOOD GOVERNANCE WERE KEY
TO ENSURING SUSTAINABLE
GROWTH DURING THIS HIGHLY
UNPREDICTABLE TIME.**

The Board proactively supported the executive leadership team in rapidly activating a holistic response plan which aimed to protect the business and its stakeholders from the immediate impacts of the crisis, while also looking beyond the current landscape to the future we want to create. Key areas of Board focus during the year included monitoring the emerging economic and policy developments and assessing the impact on Company performance, financial position, and supply chain, strengthening risk management and supporting our employees in these trying times.

WAY FORWARD

With the outbreak of the Russian-Ukrainian war and some developed nations in danger of recession, the economic outlook for the financial year 2022/23 has been revised downward for the entire world. The International Monetary Fund has slashed its previous 2022 and 2023 forecast from 6.1% to 3.6%. The World Bank has also lowered its global growth projections from 5.1%, to 2.6% for 2022, and to 2.2% in 2023. Developing countries are expected to feel the brunt of this relapse and per capita incomes in developing countries are expected to fall 5% below the pre-pandemic era.

With the first debt default in post-independence history and ensnared in a foreign exchange crisis, the outlook for Sri Lanka is extremely bleak, particularly for domestic manufacturers due to their import dependence. Interruptions to fuel and energy supplies, as well as the steep rupee depreciation and rising interest rates, will add to operational challenges. As product prices have increased sharply, coupled with escalating inflation, we anticipate declining demand for consumer durables.

On a positive note, Abans Electricals PLC is in a relatively strong position due to our decision to expand our inventory holdings, which will enable uninterrupted operations for the critical first half of the new financial year. We have also adopted local sourcing strategies and will focus on horizontal expansion in local manufacturing, which will reduce import dependence.

The Company's solar panel installation business is also well positioned to meet the country's need for alternate energy, provided there is support from national authorities to expand this sector. Mass adoption of solar power in Sri Lanka will significantly alleviate pressure on foreign exchange reserves to import fuel. Therefore, we urge policymakers to consider regulatory support for the solar power industry.

Further, we are confident that IMF assistance will drive the country's economic recovery and we are fully committed to supporting the nation's economic revival.

dedicated towards the careful and strategic guidance of the Company during this unpredictable period and I extend my appreciation to them. The management has ensured the successful implementation of our strategies, and our staff rallied around to ensure ground-level deployment. I thank all of you for your hard work and commitment. I also thank our customers, business partners, shareholders and all other stakeholders for their support and confidence during this time of uncertainty. I look forward to working with all of you in the new financial year, to make sure we give our best to our nation.

Sincerely



Aban Pestonjee
Chairperson



**WE HAVE NAVIGATED
THROUGH UNCHARTED
TERRITORY TO A SUCCESSFUL
CONCLUSION AND CONTINUED TO
CREATE VALUE FOR OUR
COUNTRY AND PEOPLE.**

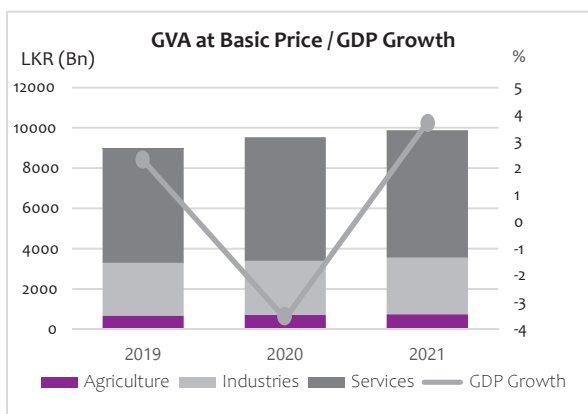
APPRECIATIONS

We have navigated through uncharted territory to a successful conclusion and continued to create value for our country and people. This was possible only because of the united efforts of our team from the Board of Directors to the lowest ranks, wherein each person fulfilled their obligations with sincerity and integrity. My fellow Board members have been

MANAGEMENT DISCUSSION & ANALYSIS

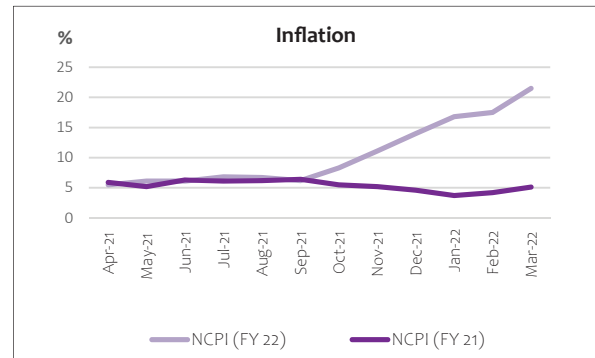
SRI LANKAN ECONOMY

The Sri Lankan economy made a recovery in 2021 with a growth of 3.7% after shrinking by 3.6% in 2020, as stated by the Central Bank Annual Report 2021. The agriculture sector grew by 2.0% in 2021, from the contraction of 2.2% in 2020, mainly due to growth in coconut and animal production activities. Benefiting from the pent-up demand, the industry sector grew by 5.3%, from a contraction of 6.9%, with manufacturing activities achieving a growth of 7.2%, after a decline of 3.9% in 2020. The services sector too, recorded a growth of 3.0%, from the 1.6% downturn in 2020. However, due to the country's high debt, low foreign reserves and inflationary pressures, the Asian Development Bank (ADB) forecasts that Sri Lanka's economic growth will decline to 2.4% in 2022 and improve marginally to 2.5% in 2023.



INFLATION

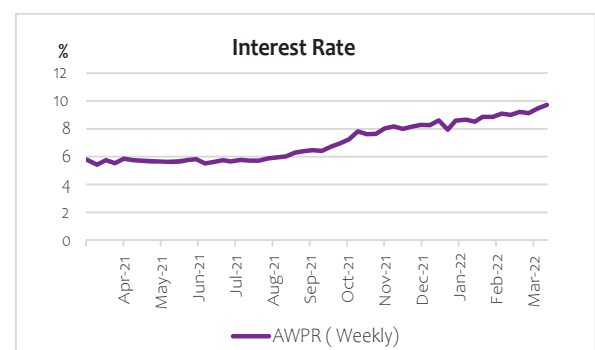
The country experienced rapid inflation during 2021/22, driven by price increases of both food and non-food items. Headline inflation, as measured by the year-on-year change in the National Consumer Price Index (NCPI, 2013=100) increased to 33.8% in April 2022, from 21.5% in March 2022. On a year-on-year basis, the Colombo Consumer Price Index (CCPI) based headline inflation continuously increased to 29.8% in April 2022 and food inflation increased to 46.6%, while non-food inflation increased to 22.0%. The non-food category inflation is mainly due to price increases in petrol, diesel, gas, other fuels and price increases in other sectors. In the food category, prices of milk powder, rice, bread, dhal, sugar and dried fish, had increased. Meanwhile, annual average inflation rose to 11.3% in April 2022 from 9.1% in March 2022.



INTEREST RATES

The Central Bank commenced tightening monetary policy from August 2021 by increasing the Standing Deposit Facility Rate (SDFR) and Standing Lending Facility Rate (SLFR) by 50 basis points to 5.50% and 6.50%, respectively. Again, from January to March 2022 policy interest rates were increased by 150 basis points. In addition, caps imposed in August 2020 on interest rates of domestic lending products were revised upwards in March 2022. In April 2022 policy interest rates were increased by 700 basis points, the highest single day adjustment in recent history, along with the decision to remove almost all caps imposed on lending products.

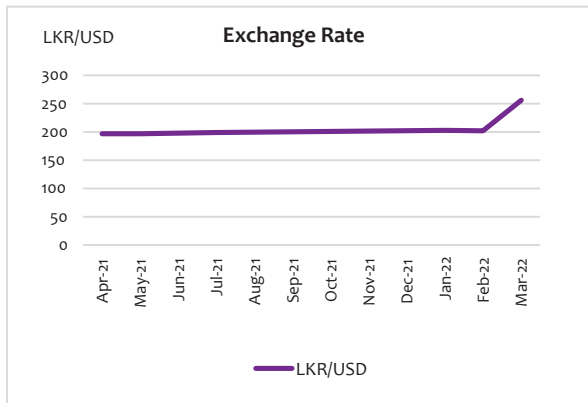
The Average Weighted Deposit Rate (AWDR) and the Average Weighted Fixed Deposit Rate (AWFDR) which were at historically low levels of 4.75% and 5.62%, respectively, by end August 2021, increased by 32 basis points and 131 basis points, respectively, by end February 2022. Market lending rates - the Average Weighted Prime Lending Rate (AWPR), the Average Weighted Lending Rate (AWLR) and Average Weighted New Lending Rate (AWNLR) increased by 310, 75 and 203 basis points, respectively, by end February 2022.



MANAGEMENT DISCUSSION & ANALYSIS

EXCHANGE RATE

The Central Bank allowed the Sri Lankan rupee to float on 7th March 2022. Consequently, the Sri Lanka rupee which had depreciated by 7.0% in 2021 against the US dollar, depreciated by 33.0% by end March 2022. By 13th May 2022, the rupee continued to fall by 44.3% against the US dollar.



EXTERNAL ENVIRONMENT

During the financial year 2021/22, Sri Lanka's external reserves hit critical point, resulting in a foreign exchange crisis. This situation is attributed to a combination of factors.

With the country returning towards normalcy, import expenditure outpaced export earnings in 2021 with rising energy prices adding to the import burden. During 2021, the cost of fuel imports increased to US\$ 3,743 million from US\$ 2,543 million in 2020. However, inflows continued to decline. Workers' remittances declined by 22.7% in 2021, compared to a growth of 5.8% in 2020, from US\$ 7.1 billion to US\$ 5.5 bn. Earnings from tourism decreased by 25.7% to US\$ 507 million in 2021, from US\$ 682 million in 2020. Foreign residents' investments in the Colombo Stock Exchange (CSE), other than direct investment transactions, recorded a net outflow of US\$ 236 million in 2021, compared to a net outflow of US\$ 217 million in 2020.

The Central Bank received foreign exchange inflows from a Special Drawing Rights (SDR) allocation from the IMF and international SWAP arrangements with the Bangladesh Bank and the People's Bank of China (PBOC) in 2021, and Reserve Bank of India (RBI) in early 2022.

However, by end 2021, the country's total foreign assets fell to 3.6 months of imports, compared to 6.4 months of imports in 2020, with gross official reserves falling to US\$ 3.1 billion by end 2021, compared to US\$ 5.7 billion by end 2020. Meanwhile, the total external debt of

the country increased to US\$ 50.7 billion by end 2021, from US\$ 49.0 billion by end 2020. As at end-March 2022 the gross official reserves stood at US\$ 1.9 billion, which included the SWAP facility from the People's Bank of China of around US\$ 1.5 billion, which is subject to conditions on its usability.

FINANCIAL CAPITAL

The following discussion and analysis of the financial status of Abans Electricals PLC as at end of the financial year under review, should be read concurrently with the Audited Financial Statements of the Company for the year ended 31st March 2022, to provide a more comprehensive picture.

OVERVIEW OF FINANCIAL PERFORMANCE

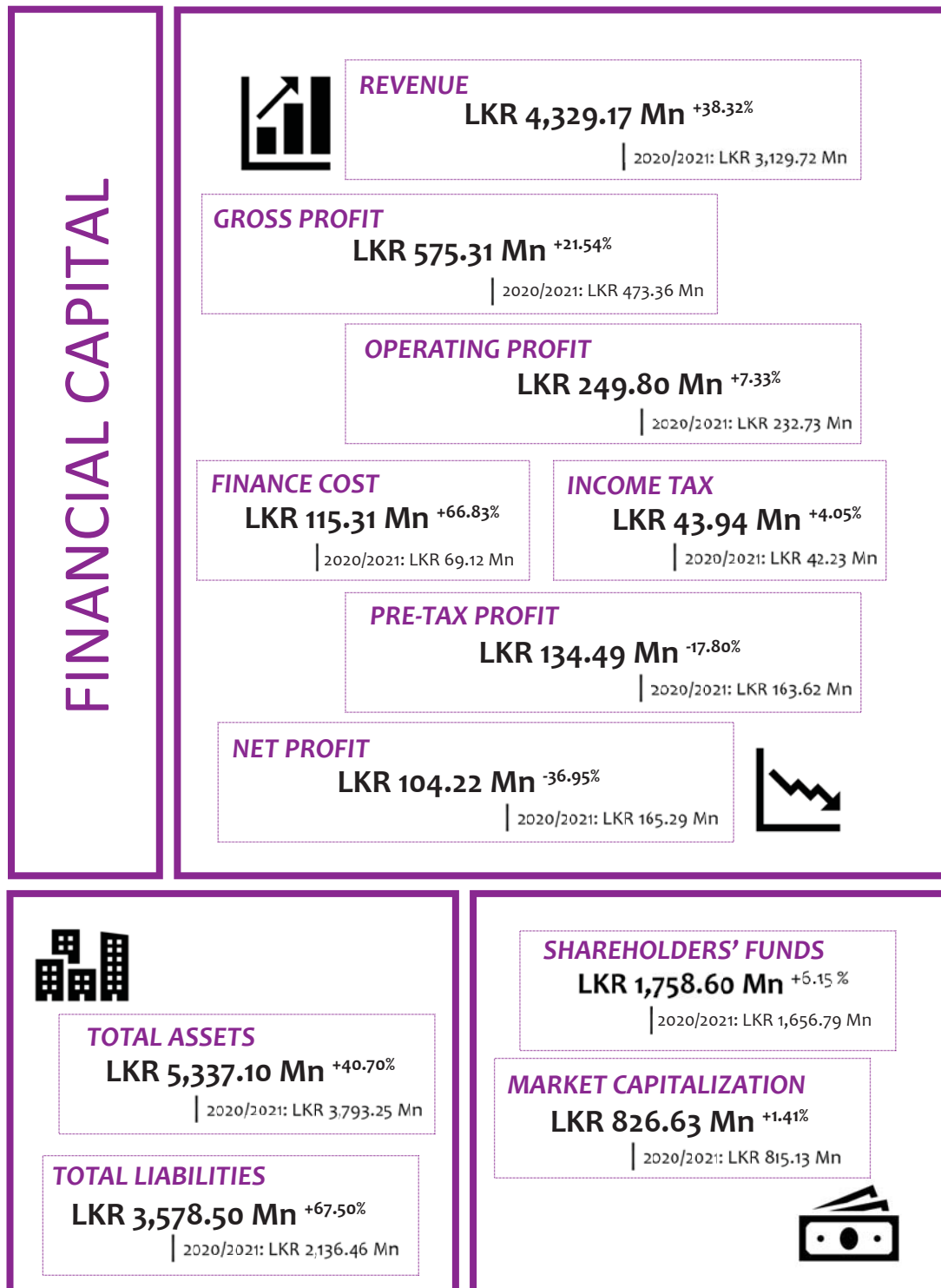
Although we faced many challenges due to the re-emergence of COVID-19, import restrictions and foreign exchange shortages, we attained a strong financial performance for a major portion of the year. Our local manufacturing license and prudent cashflow management worked in our favour to obtain foreign exchange from Banks for imports, despite the prevailing foreign exchange shortage. The 2nd COVID wave in the 1st quarter, curtailed consumer demand and resulted in slower sales. However, turnover picked up from the 2nd quarter onwards, contributing towards growth in profitability in both the 2nd and 3rd quarters. Consumer demand for electrical appliances remained strong during this period, as consumers invested in appliances in anticipation of future shortages of such goods due to import restrictions. Responding to this demand, we made all efforts to replenish inventories to ensure availability of goods and spare parts for consumers.

The situation reversed in the 4th quarter as a result of exchange losses, which eroded profitability. The Company's foreign exchange exposure ballooned due to the unprecedented rate of rupee depreciation, and the steep rise in interest rates caused the cost of credit to surge, on top of the rising operating costs. In addition, the rising interest rates and spiralling inflation, reduced the level of disposable incomes and consumer demand for non-essential electrical items, such as washing machines and gas cookers which are the Company's primary manufactured products took a downward trajectory.

MANAGEMENT DISCUSSION & ANALYSIS

Faced with a highly unpredictable macro environment, the Company adopted an accommodating but cautious approach towards managing the changing market risk profile, while continually monitoring market developments.

Despite the rapid shifts in market conditions, we have maintained financial stability through the prudent management of our cashflows and foreign exchange exposure, while ensuring adequate flexibility to respond rapidly to market demand trends, ensuring sustained returns for our shareholders and other stakeholders.



MANAGEMENT DISCUSSION & ANALYSIS

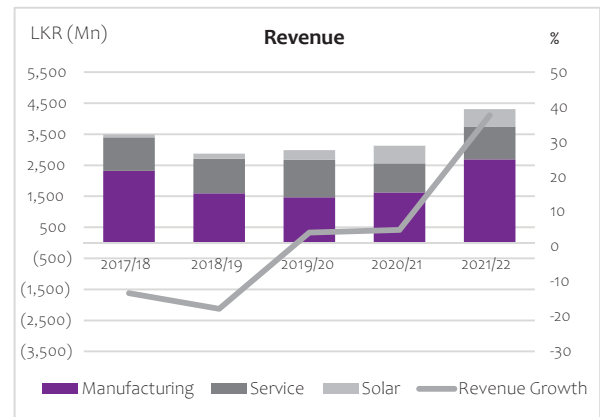
REVENUE

Our proactive measures to ensure availability of adequate stocks of raw materials and spare parts, in spite of import restrictions, made it possible to sustain volume growth in manufacturing which helped boost revenues by 38.32% year-on-year. The turnover for the year exceeded last year's turnover by over LKR 1.2 Bn, reaching LKR 4,329.17 Mn, from LKR 3,129.72 Mn.

Although incomes from manufacturing declined in the last quarter, manufacturing remained the main contributor to total revenue and recorded a growth of 65.55% year-on-year, of over LKR 1.1 Bn. Total revenue from manufacturing grew from LKR 1,623.20 Mn in 2020/21, to LKR 2,687.13 Mn in 2021/22. Given the expanded restrictions on consumer durable product imports due to foreign currency shortages, our local manufacturing operation has achieved a remarkable growth.

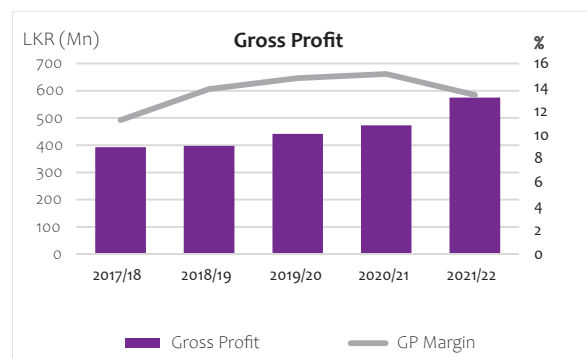
The services and solar power sectors too, achieved marginal growth during the year. The mobility restrictions imposed during the resurgence of COVID-19, fuel shortages and restrictions on spare parts imports hampered the growth of services and solar businesses, and also hindered customer access to these products and services. In spite of these obstacles, we achieved a 12.84% and 2.67% growth in the services and solar business categories for the year. Under services, the Company provides repairs, spare parts and installation services. The revenue from services reached LKR 1,057.38 Mn during the year, compared to LKR 937.08 Mn in the previous financial year.

Under the solar segment, we install rooftop solar PV systems. Revenue from this segment grew slightly, to LKR 584.65 Mn, from LKR 569.44 Mn last year. The acute dollar shortage which impeded imports of solar panels and inverters, and the escalating cost of materials, hampered growth of this sector.



GROSS PROFIT

Input costs for manufacturing operations, solar power installations and also spare parts, increased exponentially during the year, as a result of rapid price increases of materials and components and higher freight rates, due to the combined effect of sharp rupee depreciation and spiralling inflation. Reflecting this cost escalation, the cost of sales too, increased against the previous year. Nevertheless, the strong revenue growth, coupled with our focus on achieving cost efficiencies in the production and other value chain processes, enabled a year-on-year growth of 21.54% of the gross profit. The gross profit for the year reached LKR 575.31 Mn, from LKR 473.36 Mn in the financial year 2020/21. The gross profit margin however, dropped from 15.12% to 13.29%, reflecting the mounting cost component.



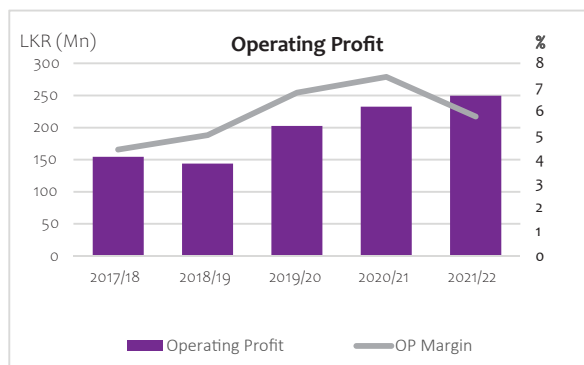
OPERATING PROFIT

In the wake of escalating costs across all operational aspects, we emphasised cost containment and productivity enhancement measures in all activities, which were instrumental in

MANAGEMENT DISCUSSION & ANALYSIS

maintaining profitability during the year. Boosted by the positive contribution from the gross profit, we achieved an operating profit of LKR 249.80 Mn for the financial year 2021/22, which is a growth of 7.33% from the LKR 232.73 Mn of the previous year. The operating profit margin for 2021/22 declined to 5.77%, compared to 7.44% in the previous year.

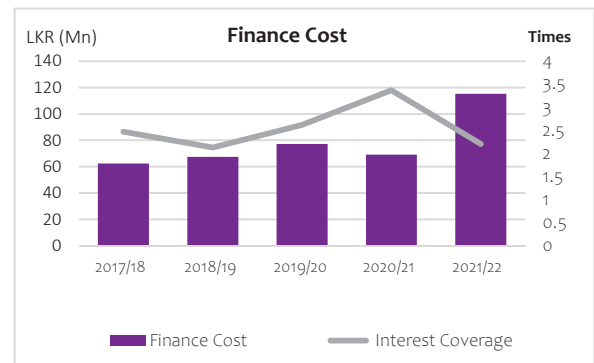
This growth in operating profit was achieved in spite of a year-on-year increase of 22.47% in marketing and distribution costs, and an 11.73% increase in administrative expenses, while other incomes declined by 41.99% and provisioning for doubtful debtors had to be increased by 29.32%. Sales and marketing costs went up due to increased costs of vehicle maintenance and transportation, as the cost of vehicle servicing, spare parts and fuel prices all increased. Given the unstable macro environment, provisioning for doubtful debtors also had to be increased. The rise in administrative expenses was due to the reinstatement of several cost items, following the return to normal business activities.



FINANCE COST

Finance expenses for working capital increased by 61.76% year-on-year, following repeated interest rate increases during the year and came to LKR 58.17 Mn, from LKR 35.96 Mn in 2020/2021. The net finance and other cost for the year also increased by 66.83% to LKR 115.31 Mn, from LKR 69.12 Mn in the previous year.

The overall borrowing cost of the Company was unavoidably pushed up due to the gradual increase in market interest rates applicable for working capital facilities and expansion of short-term working capital exposure due to longer inventory holding periods and higher inventory value. Exchange losses incurred due to rupee devaluation was another contributory factor.



TAX PAYMENT

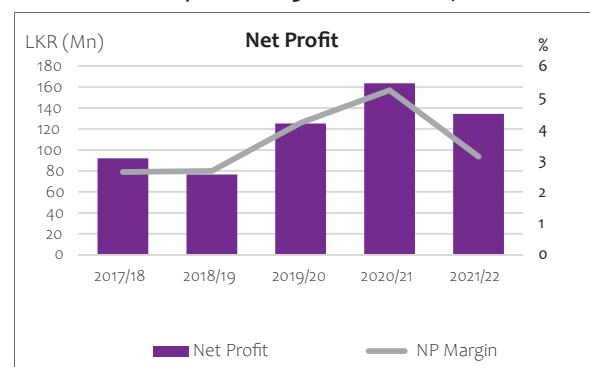
Our Income Tax payment increased slightly, to LKR 43.94 Mn for the financial year 2021/22, from LKR 42.23 Mn in the previous financial year due to the increase in the taxable income during the year under review. The deferred tax reversal component for 2021/22 amounted to LKR 13.67Mn.

Abans Electricals calculates Income Tax at the rate of 18% for our manufacturing segment and at 24% for our services and solar installation segments. For further details on the tax impact on the Company, please refer Note 09 of the Financial Statements, on page 65.

PROFITABILITY

Despite a positive contribution from the growth in gross profits, the cost increases from returning to normal business operations following COVID disruptions, caused the operating profitability to decline in the current financial year. The Profit before Tax (PBT) came to LKR 134.49 Mn for the financial year 2021/22, which is a decline of 17.80% against the PBT of 163.62 Mn in 2020/21.

The Net Profit for the financial year 2021/22 came to LKR 104.22 Mn, which is a decline by 36.95% against the previous financial year's LKR 165.29 Mn. The Net Profit margin for the year reduced to 2.41% from 5.28% in 2020/21.



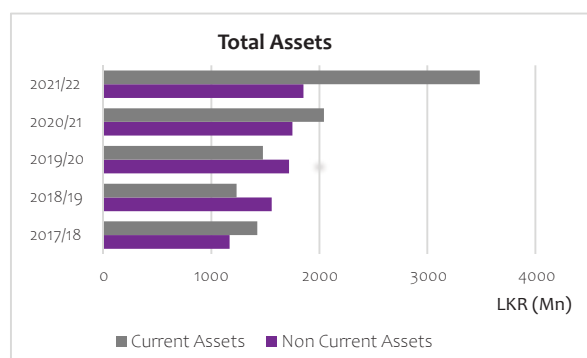
MANAGEMENT DISCUSSION & ANALYSIS

TOTAL ASSETS

The Company's total assets increased by 40.70% to LKR 5,337.10 Mn as at 31st March 2022, from 3,793.25 Mn as at end March 2021.

The total Non-Current Assets increased by LKR 102.39Mn to LKR 1,852.35 Mn, from LKR 1,749.96 Mn. This was mainly due to the much higher allocation for plant and machinery from LKR 34.11 Mn in the previous year, to LKR 180.25Mn. This investment will support production capacity expansion and solar systems. The interest from fixed deposits were also capitalised.

Total Current Assets of the Company increased by LKR 1,441.46 Mn during the year, which is a growth of 70.55%, to LKR 3,484.74 Mn, from LKR 2,043.29 Mn. This comprises the expansion of inventories due to orders placed in advance, and to meet on-going operational requirements as well as to avoid stock-out situations and ensure local manufacturing continuity in spite of ongoing foreign currency shortages and import restrictions. Our substantial stock holdings will enable uninterrupted manufacturing and services activities, and solar power installations for the first half of the new financial year, creating a competitive advantage in the current environment of import restrictions. In addition, the growth in current assets was also due to increased sales to related parties, advances paid to foreign suppliers and cash margins placed to open letters of credit.



TOTAL LIABILITIES

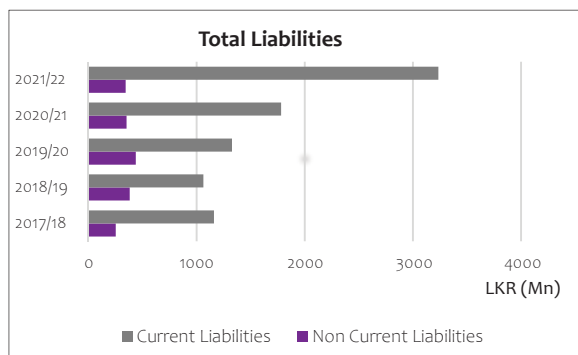
Our total liabilities increased by 67.50% during the year, to LKR 3,578.50 Mn, from LKR 2,136.46 Mn last year.

However, non-current liabilities maintained its decline by LKR 7.80 Mn (2.20%) to LKR 346.28 Mn from LKR 354.07 Mn, with borrowings and the

deferred tax liability continuing to decline. The deferred tax liability declined in the current financial year as a result of a reduction in the applicable tax rate. Our long-term borrowing exposure was reduced by repaying some of these dues. The retirement benefit obligation also reduced due to actuarial gains recorded at the end of the year.

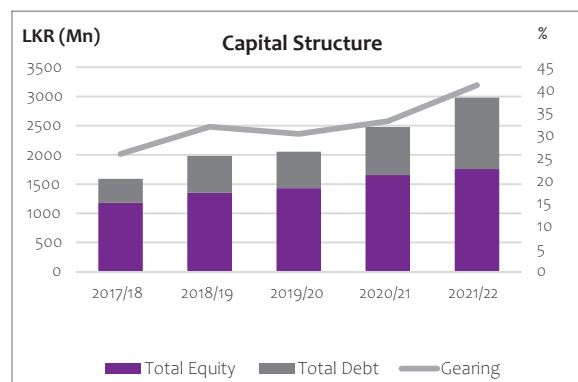
Current liabilities increased by LKR 1,449.83 Mn to LKR 3,232.22 Mn, from LKR 1,782.39 Mn, mainly due to the growth in short-term borrowings for working capital and payments to foreign suppliers. Payments to suppliers more than doubled, increasing by LKR 973.60 Mn to LKR 1,838.71 Mn, from LKR 865.12 Mn, due to higher prices, rupee depreciation and rising freight costs as we expanded our inventories. Short term borrowings increased by LKR 415.01 Mn during the year, to LKR 1,116.88 Mn, from LKR 701.87 Mn.

Due to the growth in debts, the gearing ratio increased from 33.14% to 41.04% during the year and the current ratio declined to 1.08 times from 1.15 times last year.

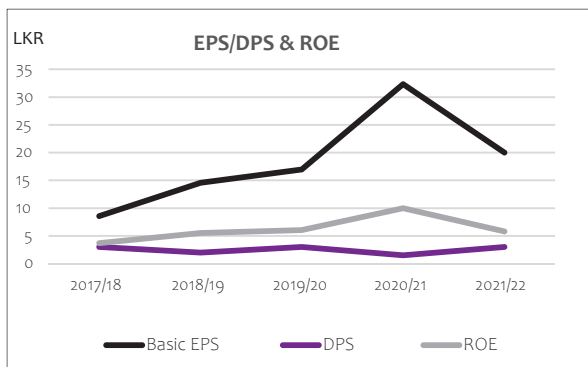


EQUITY

The sustained growth in profitability has added to our shareholders' funds which increased by LKR 101.81 Mn (6.15%), to LKR 1,758.60 Mn by the end of the 2021/22 financial year, from LKR 1,656.79 Mn in 2020/21.



MANAGEMENT DISCUSSION & ANALYSIS



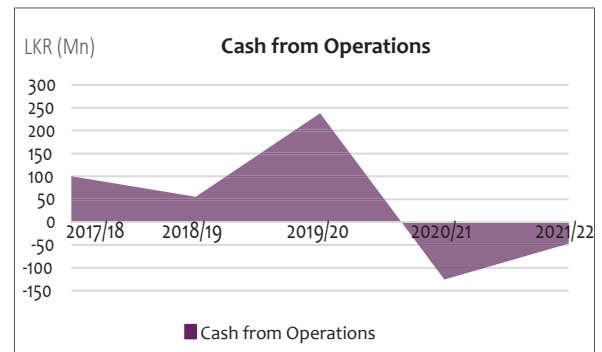
CASH FLOW

Cash flow management came under pressure during the year due to the unexpected, rapid cost escalations across all operating activities. However, through the prudent allocation of our funds, we were able to finance additional purchases of parts and equipment from local and foreign suppliers, and also made significant capital investments for future income opportunities.

Cash generated from Company operations before working capital changes was LKR 263.93 Mn (2020/21: LKR 161.38Mn). However, the net cash flow from operating activities was negative for the year at LKR 46.99 Mn, primarily attributable to notable increases in investment in inventories, advances paid for foreign suppliers, dues to related parties and interest paid. However, this was offset by the increase in trade and other payables and deferred service income received.

Cash used in investment activities increased significantly against the previous financial year to LKR 179.62 Mn, compared to LKR 9.33 Mn during 2020/21, due to capital expenditure to enhance local production capacities and investments in solar systems.

Cash from financing activities came to LKR 199.07 Mn as at the end of the year (2020/21: LKR 188.68 Mn). This is primarily due to new term loans to finance part of our capital investments, short term borrowings to finance working capital requirements and import loans to settle foreign supplier commitments. However, repayments of long-term borrowings, lease creditor commitments and dividend payments also increased during the year, and we concluded the year on a positive cash position of LKR 38.99 Mn.



MANUFACTURED CAPITAL

Abans Electricals PLC is the manufacturing arm of the diversified Abans Group and is engaged in manufacturing a limited range of white goods that are retailed through the island wide Abans retail network and other external retailers. Diversifying its business, Abans Electricals entered the emerging renewable energy sector in Sri Lanka by importing and installing roof-top solar PV systems. The Company has been gradually expanding its footprint in this segment over the recent past.

The Company's manufactured capital base extends to buildings, plant and machinery, stock holdings of components and parts, tools and equipment and vehicles, to facilitate uninterrupted operations of its core business of local manufacturing.

The Company has continued to enhance its manufactured capital base through regular investments into upgrades and maintenance of its physical assets. During the financial year 2021/22, the Company augmented its capital budget to enable uninterrupted supplies of popular appliances for consumers during the current period of import restrictions. Capital expenditure to enhance production capabilities through vertical integration, or backward integration was increased significantly to LKR 180.75 Mn from LKR 37.41 Mn in the previous financial year. Out of this investment, LKR 85.35 Mn went towards the expansion of manufacturing activities, compared to the investment of LKR 9.84 Mn in the previous year. This includes plans to expand our injection moulding plant.

MANAGEMENT DISCUSSION & ANALYSIS

The prevailing import restrictions on consumer durable finished products, has created an opportunity for the Company to expand market share, by expanding our local manufacturing business. Further, in order to open up a continuous source of income, we invested in large scale solar systems.



LKR 2,051 Mn

Property, Plant & Equipment



02

Manufacturing Facilities

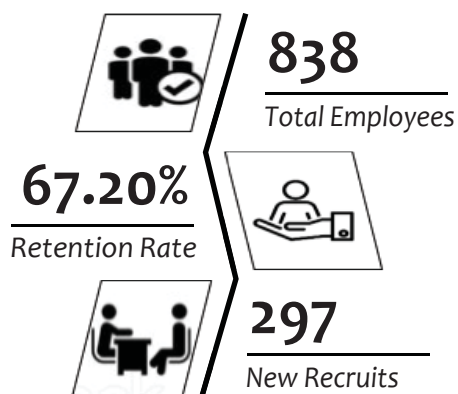


LKR 180 Mn

PPE Additions

HUMAN CAPITAL

Operating within a highly competitive and technical industry, we recognise our human capital base as a key competitive advantage. Therefore, we continually invest in developing and upgrading our human resource pool to retain our skills and talent, and to create value for all our stakeholders. Despite the uncertain market conditions that prevailed during the year under review, we continued to invest in building the skills of our employees and on employee welfare, and also expanded our employee base by recruiting new talent into the Company.



The Company is fully compliant with all applicable labour laws and regulations and has made all statutory employee related payments on time, including EPF, ETF and gratuity payments. In addition, the Company strives to create a safe and pleasant work environment for all employees

and provides a range of welfare benefits for employees. All relevant health and safety regulations have been complied with, including COVID prevention protocols, during the year under review and the Company emphasises safety standards within all its operational locations.

Abans Electricals PLC is an equal opportunity employer and has put in place a formal human resource management framework in line with the HR policies and procedures of the Abans Group. The Company does not discriminate on gender, race or religion and adopts a strictly merit based approach to all recruitments, promotions, increments, rewards and other employee engagements.

The Company invested LKR 495.01 Mn on employee benefits during the financial year, compared to LKR 489.49 Mn in 2020/2021.

OUR EMPLOYEE PROFILES

Despite the challenging nature of the year, we continued our search for suitable new talent and recruited 297 new personnel to join our team. Our total employee cadre as at end March 2022 stood at 838, while our retention rate of employees was 67.2%. Training and development activities were continued with many programmes conducted online.

COVID PREVENTION

Employee safety remained in the forefront during the financial year 2021/22 against the landscape of new COVID-19 variants and related restrictions. During the year, we continued to facilitated vaccinations for all employees to enhance the safety of employees and customers, sponsored treatment at interim care centres for all infected employees and continued to invest in hygiene, safety and preventive measures.

We were also sensitive to the fact that periodic lockdowns, remote working arrangements and general anxiety regarding the country's future have made the year an extremely challenging one for our employees. Therefore, we made a concerted attempt to alleviate the stress levels of our employees through a range of welfare measures, including regular communications

MANAGEMENT DISCUSSION & ANALYSIS

and engagement activities, some of which were conducted virtually, to enable employees to interact and connect with each other.

We also focused on improving performance management systems to ingrain a performance-driven culture, despite the unavoidable external distractions.

EMPLOYEE WELFARE ACTIVITIES

Despite numerous operational and financial challenges were experienced during the year, the Company ensured to continue several welfare activities to support and uplift the living standard of its employees and also to create a better future for them. Such activities include,

Education Gift Pack Distribution Program

This is an annual contribution to support the education of the children of employees. Every year, on January 1st, the welfare fund of the Company provides an education pack for children of all employees, which includes a school bag, exercise books, stationary, lunch box, water bottle and other requisites.

Essential Food Package Distribution

Responding to the difficult economic conditions in the country, the Company provided welfare packs for each employee. The objective was to help employees access adequate food, as the country experienced spiralling inflation with prices of essential food items increased rapidly. In addition to that, a similar essential food package was given for all Covid-19 affected employees and those who undergo quarantine or medical treatments due to Covid-19.

Shapes of Tomorrow – 2021

This is another initiative by the Company to encourage academic achievements of employees' children. The welfare fund of the Company provides a certificate and a financial gift for children of employees who pass the Grade 5 scholarship exam, and older children who get good results for the O/Ls and A/Ls. In addition to these one-off donations, the Company provides a monthly allowance throughout the university period for the children who are selected for national universities.

Death Donation

A death donation fund has been set up to provide financial assistance for employees in the event of the death of a close family member. The funds are made available for the death of an in-law, or a close relative.

BUILDING A GREAT PLACE TO WORK

In line with the Abans Group's intention, Abans Electricals PLC has also committed to the creation of a "Great place to work". In order to achieve this objective, we strive to create a safe and comfortable work environment for our employees, while encouraging performance excellence and high achievement.

We maintain an 'Open Door' approach towards employee grievance handling, providing all employees direct access to the Head of HR and respective Divisional Heads and also the Chief Executive Officer, to address any concerns.

Training and development is an ongoing activity at Abans Electricals and the Company makes an annual allocation for employee training events for a wide range of skill development activities based on a training calendar. During the current financial year, the investment in employee training was increased to support Company growth plans.

EMPLOYEE ENGAGEMENT ACTIVITIES

We conduct many employee engagement activities every year. Some of these events held during the year under review are listed below.

New Year Celebration

Our employees across the rank and file got together to celebrate the New Year on January 1st, 2022, with joyful wishes for each other, and the Company.

Employee Recognition Award Ceremony – 2021

The Company conducts a service recognition ceremony on January 1st in appreciation of long-standing employees. The ceremony recognises all employees with service periods of over 5-years, with awards and gifts presented for those marking 5, 10, 15, 20, 25 years and more.

Abans Get Together

The Abans get together is a special day of fun for all employees with games, musical events and activities to cultivate comradery between staff from different divisions and to build team spirit to achieve common targets.

MANAGEMENT DISCUSSION & ANALYSIS

Secret Santa 2021

The Secret Santa is the annual Christmas party for employees. The event provides an opportunity for employees to mingle and socialise with many entertainments.

Best Snap - Children's Day Celebration Event

As a family-oriented Company, Abans Electricals encourages family time among employees. Best Snap is an annual photography competition for employees, to celebrate Children Day, where the three best photographs of employees and their families are selected.

INTELLECTUAL CAPITAL

Our intellectual capital is a key component of building our financial capital and creating a competitive advantage in the market.

Our technical expertise in producing high quality, durable electrical items and our knowledge of solar power systems, and the technical skills and competencies of our service teams which is essential to provide better customer services, are the Company's core intellectual capital. This knowledge is continually augmented through the training and development of our employees. In addition, we also allocate funding and time to develop and improve product designs to best suit the requirements and budgets of Sri Lankan consumers.

In addition, the Abans brand is an inextricable and invaluable aspect of the Abans Electricals PLC's intellectual capital, representing our unique identity as a member of the Abans Group.

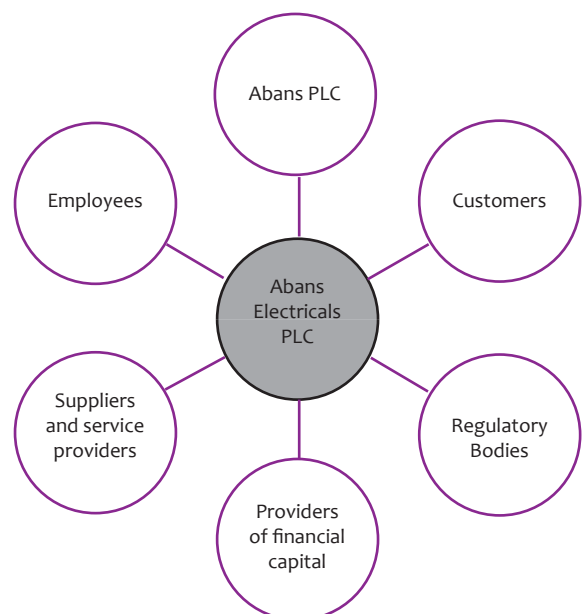
During the current financial year, we focused on new mechanisms to expand the local value addition component of our existing product portfolio via backward integration. Research and development activities were conducted for import substitution, through local manufacturing. We believe these efforts will reduce the foreign exchange exposure of the Company and will also support national policy to safeguard limited foreign exchange.

SOCIAL AND RELATIONSHIP CAPITAL

As a member of the Abans Group, our social capital is associated with the Abans brand, which denotes decades of consumer trust. Therefore, Abans Electricals is obligated to uphold the values and standards associated with the Abans brand in our engagements and interactions with our external stakeholders, extending beyond rhetoric into tangible quality standards of our products and services. In turn, our consistent and reliable standards and quality principles complement and augment the Abans brand equity through continued consumer confidence in the Abans brand.

As the manufacturing arm of the Abans Group, Abans Electricals is not engaged in retail activity and does not directly engage with end customers of our products. The retail, distribution and marketing services of our products are performed by our significant shareholder Abans PLC. Therefore, our interactions with end consumers are limited to after sales services for products we manufacture, and also for a wide range of other home appliances retailed by Abans PLC. To provide quick and professional after sales services, we maintain 15 regional service centres and also have a network of over 40 authorised service agents, island wide.

OUR KEY EXTERNAL STAKEHOLDERS



MANAGEMENT DISCUSSION & ANALYSIS

Our key external stakeholder groups are our significant shareholder Abans PLC, customers, our employees, suppliers and service providers, providers of financial capital, and regulatory bodies.

STAKEHOLDER ENGAGEMENT

Abans Electricals PLC is committed towards strengthening relationships and delivering sustainable value creation to our diverse range of stakeholders. To this end, formal procedures and systems have been established to facilitate transparent and professional engagement with all our key stakeholder groups, including our significant shareholder Abans PLC. As a mandatory good governance measure, we maintain timely interactions with relevant regulatory agencies for compliance with all applicable regulatory stipulations.

Our employees, particularly those engaged in delivering services, are trained in customer service and procedures to maintain the integrity and quality associated with the Abans brand. We aim to provide efficient and effective after sales service to our customers at all times, to maintain a high level of customer satisfaction. As we do not engage in retail activities, we maintain Customer Service Centres to quickly respond to repair and maintenance needs of our customers and we utilise social media platforms to communicate with our customers. During the current financial year, we developed a customer support video, which was uploaded on our YouTube channel, providing instructions and demonstrations on the correct method to operate our washing machines, for optimum utilisation. All health and safety standards for the safety of our customers, including ongoing COVID-19 prevention protocols, are observed by our employees to ensure the safety of our customers.

Our suppliers are crucial to our operations and are vital to ensure uninterrupted operations and quality of our products. We maintain a data base of local and foreign suppliers to procure raw materials and services, which are procured according to international contractual standards. During the year under review, we negotiated preferential treatment in prices and revision of credit periods, by maintaining effective relationships with our suppliers.

NATURAL CAPITAL

As a manufacturer we are fully cognisant of the need for resource and environmental conservation for business sustainability in the current environment of resource limitations, rising costs and growing consumer demand for environmental responsibility. We comply fully with all applicable environmental guidelines and regulations and we obtain environmental compliance certification on an annual basis, which ensures continuous application of statutory environmental safeguards, while also enabling enhancements to existing environmental protection mechanisms. In addition, periodic audits are conducted by concerned business partners in order to verify our standard of compliance.

We have adopted the 3R model of Reduce, Recycle and Reuse within our organisation to conserve resources and enhance efficiency of material use in manufacturing. As part of our productivity enhancement process we have hard-coded the learnings obtained from the implementation of Total Productivity Maintenance and concerted lean initiatives deployed during the year resulted in cost savings, while also contributing towards nurturing a cost-conscious, and productivity driven culture in which waste is minimised.

To minimise potential negative impacts on the environment through our activities, energy saving mechanisms have been implemented coupled with policies and procedures for safe consumption and disposal of plastics, chemicals, rubber, steel and other input materials used in our operations.

As part of our energy conservation efforts, we have also invested in renewable energy by adopting solar power within our own business. During the current financial year, we reviewed opportunities to expand this sector in the future.

Our 354.04 kWp in-house solar PV system generated and supplied 463,080 units during the year to the national grid, against 467,328 units added last year.

Further, we have recycled and reused 24,170.20 kg of damaged and quality rejected plastic components during the year against 6,035.57 kg last year, which minimized the volume of non-degradable wastage released to the environment.

MANAGEMENT DISCUSSION & ANALYSIS

OUR JOURNEY TOWARDS SUSTAINABILITY

Sustainable business models and practices have gained in relevance globally in the current period of continuing global uncertainty and is of unparalleled importance within the prevailing unpredictable political economy environment of Sri Lanka. The emergence of the COVID-19 pandemic in 2020 placed greater urgency on the adoption and integration of sustainable business practices in response to global trade and production disruptions, which demonstrated the vulnerability of global supply chains.

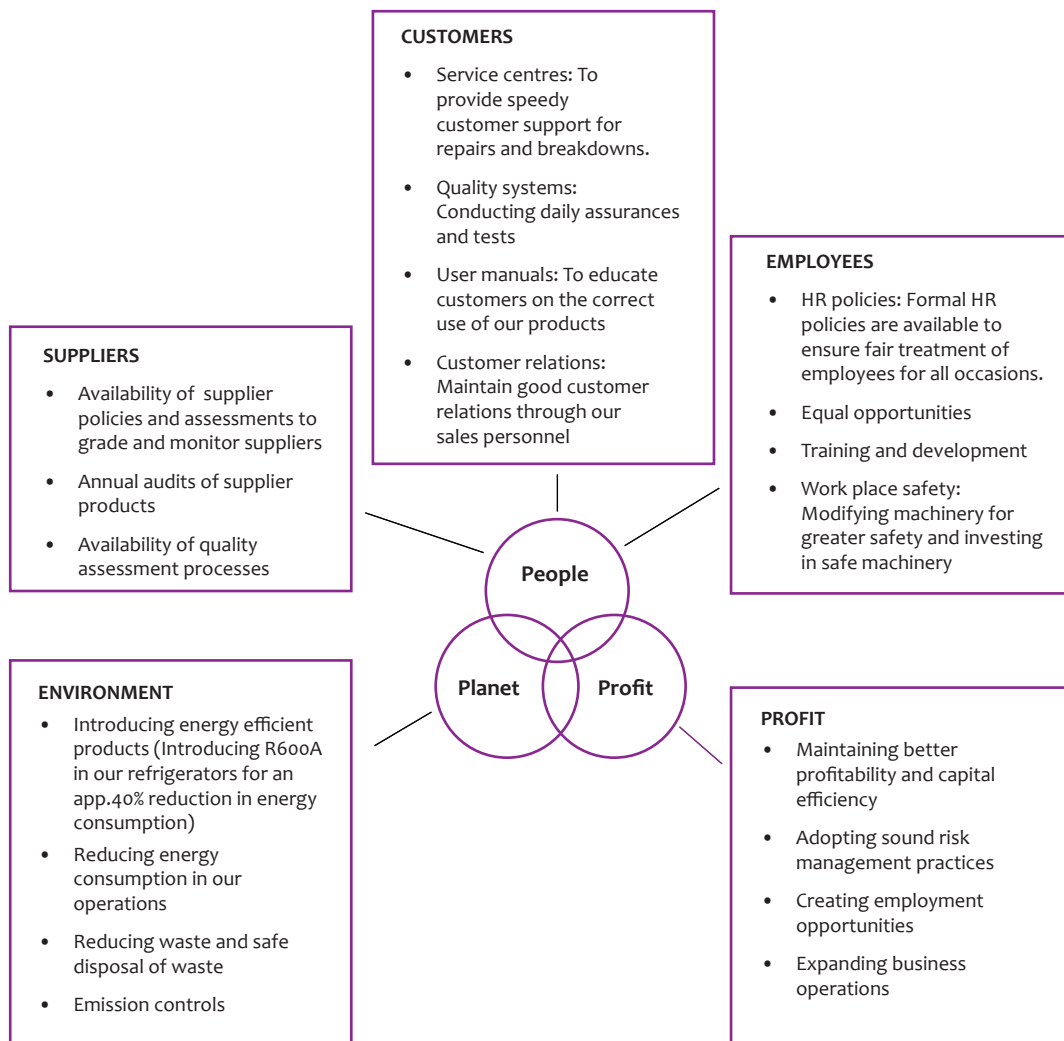
We at Abans Electricals PLC are fully cognisant of the vital importance of building a sustainable business model with long term value creation capacity as opposed to short term profits, for the benefit of all our stakeholders for years to come. Hence, we are committed towards aligning our business towards the People, Planet and Profit sustainability model, by enhancing emphasis upon environmental and social

aspects, in addition to our growing economic contributions. In this regard, are strengthening our core technical capabilities and quality systems for greater social value creation by meeting the needs of consumers and supporting the national drive to conserve foreign exchange, while emphasising financial prudence in our future growth strategies, to continue creating sustainable value for all our stakeholders.

CSR ACTIVITIES

Abans Electricals PLC also conducts many community welfare projects annually, to support worthy causes and to extend a helping hand to those in need.

OUR SUSTAINABLE BUSINESS MODEL



BOARD OF DIRECTORS



MRS. ABAN PESTONJEE
Chairperson

Mrs. Aban Pestonjee is one of Sri Lanka's best-known women entrepreneurs, whose name has become one of the largest home-grown brands in the country. As a self-taught and highly successful entrepreneur, she has received local and international recognition for her achievements.

The accolades in her name include the Award of Excellence for Women Achievers for Outstanding Achievements, presented by the SAARC Women's Association, Sri Lanka Chapter and the bronze award, under the large business category at the Women Entrepreneur of the Year awards by the Women's Chamber of Industry and Commerce, both in the year 2000. She was awarded the KOTRA Plaque of Appreciation in 2005 for forging strategic foreign economic ties between Korea and Sri Lanka. In 2006, Mrs. Pestonjee received international recognition as the Leading Woman Entrepreneur of the World award, presented by the Princess of Thailand.

Due to her unique entrepreneurial skills in the male dominated South Asian business world, Mrs. Pestonjee has been interviewed by the Harvard Business School on the subject of "Creating Emerging Markets". The transcript of the interview is retained at the Harvard Business School's Baker Library, among their historical collections, and available to students for research and case studies.

Mrs. Pestonjee also holds directorships at Abans PLC, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, Abans Tourist Hotels (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Engineering (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd and A B Manufacturing (Pvt) Ltd.



MR. BEHMAN PESTONJEE
Managing Director

Mr. Behman Pestonjee, who is a qualified Marine Engineer, Class 1 (D.O.T. London), has been involved with Abans PLC since its inception and its expansion into a diversified conglomerate. Under his leadership, the Abans retail network has expanded from a single store to over 400 stores. His contribution has primarily been in the form of managing many critical business functions including sourcing, marketing and sales. He also overlooks strategic business partnerships, that have facilitated growth of the Company. He is an inspiring leader with a unique management style based on pragmatism and execution.

Mr. Behman Pestonjee holds directorships at many Abans Group Companies including Abans PLC, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans

Marketing (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Sirius Technologies (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd, Abans Engineering (Pvt) Ltd and A B Manufacturing (Pvt) Ltd.



MR. ATHULA SIRIWARDANE
Executive Director

With wide ranging experience in the business sector, Mr. Athula Siriwardane was appointed as the Executive Director of Abans Electricals PLC in September 2016. His experience in supply chain management, which spans over 40 years, knowledge of import clearances and understanding of state institutions, have played a key role in supporting the Abans Group to succeed as a diversified business entity.

Mr Siriwardane's careful management has enabled the Company to implement cost saving measures, while ensuring timely delivery of final products. A key Company liaison with the Ministry of Finance and other relevant authorities, he has supported the growth of the Abans Group and built strong relationships. He is a visionary leader who encourages modernisation and investment in technology, and has established a pipeline of new leaders who will shape next-generation supply chain solutions.



MR. DINAL MARIO REX PHILLIPS
Independent Non-Executive Director

As a specialist in the field of intellectual property, commercial arbitration, company law litigation and sports law, Mr Phillips has provided invaluable legal counsel to facilitate business expansion. Appointed to the Board in February 2018, Mr. Phillips also serves as the Chairman of the Related Party Transactions Review Committee and is a member of both the Audit Committee and Remuneration Committee.

With over 30 years of experience in the field of law, Mr. Phillips remains a regular practitioner in the Commercial High Court, which deals in commercial law disputes and engages in litigation related to injunctions, bank recovery issues, insurance claims, family and labour disputes. He serves as a Board member of Gestetner of Ceylon Ltd. He is a former Director of the National Development Bank PLC and was a member of the National Intellectual Property Advisory Commission for 12 years and was elected Chairman twice.



MR. KUMAR DE SILVA
Independent Non-Executive Director

Mr. De Silva, who was appointed to the Board in February 2018, has over 30 years of experience in business management, backed by strong professional expertise that is highly valuable for the Company. He also contributes as the Chairman of the Audit Committee and the Remuneration Committee, and as a member of the Related Party Transactions Review Committee.

He is an associate member of the Chartered Institute of Marketing, UK, a member of the Sri Lanka Institute of Marketing, and holds a Diploma in Marketing from the Chartered Institute of Marketing, UK. Further, Mr. De Silva is a fellow member of the Chartered Institute of Management Accountants, UK, the Institute of Global Chartered Management Accountants, UK and the Chartered Institute of Logistics and Transport, UK.

INTRODUCTION

In the turbulent environment that prevailed during the year under review, Abans Electricals PLC has emphasised good governance as the most crucial aspect of corporate management, to enable an environment of stability and predictability within the Company for employees and other stakeholders. We have unfailingly believed in the importance of a solid foundation of good governance, comprising the concepts of transparency, accountability, ethical conduct and respect for the rule of law, while also embracing diversity, inclusivity and social responsibility. As a member of the diversified Abans Group, we have been encouraged in our efforts by the high standards and oversight by our major shareholder Company, Abans PLC.

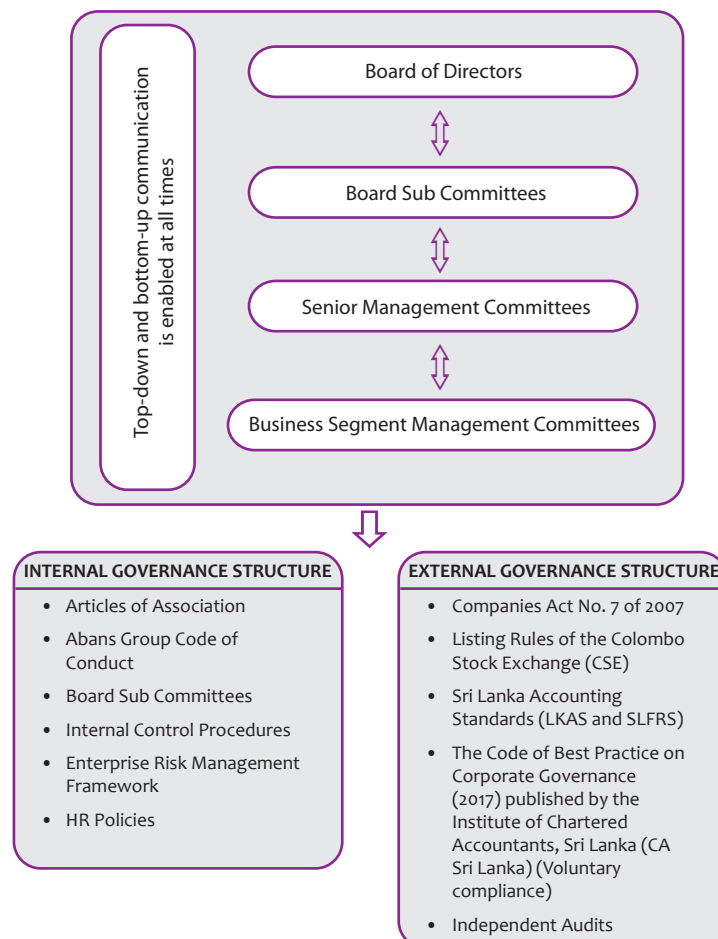
The continuous application of best practices in corporate governance ensured the proper management of Company assets, while continuous supervision of all transactions contributed towards optimum utilisation of financial, and other assets, while preventing misuse and abuse of Company assets. The sound implementation of our integrated governance systems,

facilitated rapid top-down and bottom-up advice and reporting, and also facilitated flexible responses to emergent opportunities while enabling safeguards against potential market threats. Our governance framework is regularly reviewed and updated to reflect evolving regulatory changes and global best practices, and we remained highly cognisant of our role as a responsible corporate citizen during this turbulent year.

STATUS OF COMPLIANCE

To the best of our knowledge, we are fully compliant with all applicable regulations and we did not face any fines, or penalties, for non-compliance during the year under review. This includes compliance with the mandatory provisions of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange. Wherever possible, we have also voluntarily complied with the provisions of the Code of Best Practice on Corporate Governance jointly advocated by the Securities and Exchange Commission and the Institute of Chartered Accountants of Sri Lanka.

ABANS ELECTRICALS' GOVERNANCE FRAMEWORK



INTERNAL GOVERNANCE STRUCTURE

Abans Electricals PLC's internal governance is headed by the Board of Directors, which is the highest and final authority with regards to Company decision making. The Board has delegated some responsibilities to Board and Senior Management Committees. Internal governance administration is conducted through a range of formal policies, systems and procedures that facilitates oversight over internal controls and risk management.

Board of Directors

The Abans Electricals PLC Board of Directors comprised five (05) Directors during the year under review, with two (02) of them being Non-Executive Independent Directors.

Profiles of the Directors

Please refer pages 19 to 20 of this annual report for concise profiles of the Board members.

Board Responsibilities

The Board is collectively and individually responsible to formulate, implement and monitor business strategy, develop effective systems to secure the integrity of information, internal controls, business continuity and risk management, ensure compliance with laws, regulations and ethical standards, consider the interests of all stakeholders in corporate decisions and establish processes for corporate reporting.

Directors make individual and collective judgments and obtain internal and external professional consultancy for matters relating to corporate issues, strategies, performance, setting up standards and managing and safeguarding resources.

The dramatic changes within the external environment during the year under review, entailed close and continuous monitoring of the Company's risk profile by the Board of Directors in order to develop new strategic responses and to realign operational strategies to mitigate emerging risks and capitalise on opportunities. In view of the unpredictable environment that prevailed, the Board maintained regular interactions with the management team for period market updates. In addition, the Board placed emphasis on assessing implications of the macroeconomic landscape, implications of COVID-19 and monitoring performance against agreed targets.

Board Balance and Composition

The members of the Board represent a range of skills and experiences from diversified fields of expertise, to provide holistic oversight and guidance for the Company, to navigate challenging and unpredictable macroeconomic developments.

Financial Acumen

The Board ensures financial acumen through the inclusion of financially knowledgeable members and includes a Board member holding membership in professional accountancy bodies. The Board also has the authority to retain external consultants for specialised information, whenever necessary.

Separation of powers of Chairperson and CEO
As stipulated by best practices in corporate governance, the roles of Chairman and CEO have been segregated, ensuring division of responsibility and limiting the powers and authority of the each official.

Chairperson's Responsibilities

The Chairperson is the head of the Board of Directors and as such is primarily responsible for leading the Board in its deliberations and ensures the Board is in complete control of the Company's affairs and alert to its obligations towards all shareholders and other stakeholders. During Board meetings, the Chairperson is responsible for facilitating discussions among all Directors towards collective and informed decision making. As the Company figurehead, the Chairperson represents the view of the Board to the public.

Chief Executive Officer's Responsibilities

The Chief Executive Officer (CEO) continuously monitors and reports to the Board on performance of the Company and is responsible to implement the Company's strategic plan and policies of the Board. The CEO guides and supervises senior management to ensure that the operating model of the Company is aligned to achieve short-term, medium-term and long-term objectives.

Board Meetings

The Board of Directors of Abans Electricals meet on a quarterly basis at minimum, and as-and-when required.

Despite the turbulent macro environment that prevailed during the year, the Board ensured that it convened four times (04). When it was not possible to arrange physical meetings, the Board meetings were held through digital/hybrid platforms, ensuring continuity of Board activities.

Attendance at Board meetings

During the year under review, four (04) Board meetings were held, one every quarter. The meeting agendas and Board papers were circulated to all Board members prior to Board and Sub-committee meetings. Attendance at the Board meetings held during the financial year 2021/22 is as follows.

Name	Attendance
Mrs. Aban Pestonjee, Chairperson	3/4
Mr. Behman Pestonjee, Managing Director	4/4
Mr. Athula Siriwardane, Executive Director	3/4
Mr. Kumar De Silva, Independent Non-Executive Director	4/4
Mr. D M R Phillips, Independent Non-Executive Director	4/4

Appointments / Re-Elections to Board

The Nomination Committee is entrusted with the task of nominations and appointments to the Board. The Company has in place an evaluation criterion for the selection of members to the Board, based on the objectives of the Company.

With regards to the retirement and re-election of Directors, the Company follows the regulatory framework, as well as the provisions of the Company's Articles of Association.

Appraisal of the Board

The performance of the Board members is reviewed and evaluated by the Board and Chairperson by giving due consideration to the external and internal environment and measuring the degree of success, or the failure, in achieving goals and objectives assigned individually and collectively.

Directors' Remuneration

A formal procedure is in place for setting remuneration of Directors of the Company with the Remuneration Committee entrusted to make recommendations on suitable remuneration packages. The primary objective of this exercise is to attract and retain the highest skilled experts onto the Board to guide the Company. Remuneration for Non- Executive Directors is determined based on the time commitment, role and responsibilities of each individual Director, as well as industry experience. The remuneration and other benefits of the Board of Directors are set out in Note No. 8 & 31 to the financial statements.

Board Sub-Committees

Three Board Sub-Committees have been established in conformity with regulatory requirements, to which the Board has delegated some of its functions, while retaining final decision-making rights. The Board Sub-Committees comprise predominantly of Independent Non-Executive Directors. The three Board Sub-Committees are as follows:

- i. Audit Committee
- ii. Remuneration Committee
- iii. Related Party Transactions Review Committee

A brief description about these committees is set out in pages 30 to 33.

Board Sub-Committee Composition

	Audit Committee	Remuneration Committee	Related Party Transactions Review Committee
Executive Directors			
Mrs. Aban Pestonjee, Chairperson			
Mr. Behman Pestonjee, Managing Director			M
Mr. Athula Siriwardane, Executive Director			
Independent Non-Executive Directors			
Mr. Kumar De Silva	C/M	C/M	M
Mr. D M R Phillips	M	M	C/M

C- Chairman | **M** - Member

Secretaries

As stipulated by the Companies Act, the Company has appointed a Company Secretary, which is Varners International (Private) Limited. The task of the Company Secretary is to ensure compliance with the Companies Act and the regulations of the Colombo Stock Exchange. In addition, they are entrusted with administration of Board proceedings, maintenance of minutes, agendas and papers, required for Board meetings.

Communication with Shareholders

The Board is fully aware of the importance of shareholders in the context of good corporate governance, transparency and accountability. Therefore, the Board assures that shareholders have equal access to information and ensures adequate and timely disclosure of all material information pertaining to the Company.

EXTERNAL GOVERNANCE STRUCTURE

The external governance structure applicable to the Company consists of laws, regulations and best practices that enable the Company to operate within a sound corporate governance framework.

During the financial year under review, the Company has fully complied with all mandatory provisions applicable to the Company, as stipulated by the Companies Act No. 07 of 2007 and the Listing Rules published by the Colombo Stock Exchange. A detailed compliance report is set out below.

STATEMENT OF COMPLIANCE UNDER SECTION 7.6 OF THE LISTING RULES OF THE COLOMBO STOCK EXCHANGE (CSE) ON ANNUAL REPORT DISCLOSURE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
i	Names of persons who were Directors of the Entity	Yes	Refer page no. 19-20
ii	Principal activities of the entity and its subsidiaries during the year, and any changes therein	Yes	Refer page no. 41
iii	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	Yes	Refer page no. 91
iv	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Yes	Refer page no. 90-91
v	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year	Yes	Refer page no. 43
vi	Information pertaining to material foreseeable risk factors of the Entity	Yes	Refer page no. 34-40
vii	Details of material issues pertaining to employees and industrial relations of the Entity	Yes	There are no material issues pertaining to employees and industrial relations.
viii	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	Yes	Refer page no. 42
ix	Number of shares representing the Entity's stated capital	Yes	Refer page no. 90
x	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	Yes	Refer page no. 90-91
xi	Financial ratios and market price information	Yes	Refer page no. 3 & 90
xii	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	Yes	Refer page no. 67-70

CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
xiii	Details of funds raised through a public issue, rights issue and a private placement during the year	Yes	There were no fund raising activities carried out to increase the stated capital.
xiv	Information in respect of Employee Share Ownership or Stock Option Schemes	Yes	There is no Employee Share Option Scheme, or Purchase Scheme.
xv	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules	Yes	Refer page no. 26-27
xvi	Related Party transactions exceeding 10 per cent of the equity or 5 per cent of the total assets of the Entity as per audited financial statements, whichever is lower	Yes	Refer page no. 82

STATEMENT OF COMPLIANCE UNDER SECTION 7.10 OF THE LISTING RULES OF THE CSE ON CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
7.10.1	Non-Executive Directors (NED)		
a/b/c	At least 2 members or 1/3 of the Board, whichever is higher should be NEDs	Yes	Two out of five Board members are NEDs.
7.10.2	Independent Directors		
a	2 or 1/3 of NEDs, whichever is higher shall be "independent"	Yes	All NED are independent.
b	Each NED to submit a signed and dated declaration of his/her independence or non-independence	Yes	NEDs have submitted signed confirmation of their independence.
7.10.3	Disclosures Relating to Directors		
a/b	Board shall annually determine the independence or otherwise of NEDs	Yes	The Board has determined that the criteria for independence has been met for NEDs.
c	A brief resume of each Director should be included in the annual report including the Directors' experience	Yes	Refer page no. 19-20
d	Provide a resume of new Directors appointed to the Board along with details	Yes	There was no appointments to the Board, during the year under review.

CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
7.10.4	Criteria for Defining Independence		
a to h	Requirements for meeting the criteria to be an Independent Director	Yes	The Board as a whole decides on selection criteria.
7.10.5	Remuneration Committee (RC)		
a.1	Remuneration Committee shall comprise of NEDs, a majority of whom will be independent	Yes	Refer page no. 32
a.2	One NED shall be appointed as Chairman of the Committee by the Board of Directors	Yes	Refer page no. 32
b	Remuneration Committee shall recommend the remuneration of the CEO and the Executive Directors	Yes	Refer page no. 32
c.1	Names of Remuneration Committee members	Yes	Refer page no. 32
c.2	Statement of Remuneration policy	Yes	Refer page no. 32
c.3	Aggregate remuneration paid to EDs and NEDs	Yes	Refer Note 8 on page no. 65
7.10.6	Audit Committee (AC)		
a.1	Audit Committee (AC) shall comprise of NEDs, a majority of whom should be independent	Yes	Refer page no. 30-31
a.2	A NED shall be the Chairman of the committee	Yes	Refer page no. 30-31
a.3	CEO and CFO should attend AC meetings	Yes	Refer page no. 30-31
a.4	The Chairman of the AC or one member should be a member of a recognized professional accounting body	Yes	Refer page no. 30-31
b	Functions of the AC	Yes	Refer page no. 30-31
b.1	Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements in accordance with SLFRS/LKAS	Yes	Refer page no. 30-31
b.2	Overseeing the compliance with financial reporting requirements, information requirements as per laws and regulations	Yes	Refer page no. 30-31
b.3	Overseeing the process to ensure the internal and risk management controls, are adequate, to meet the requirements of the SLFRS/LKAS	Yes	Refer page no. 30-31
b.4	Assessment of the independence and performance of the Entity's External Auditors	Yes	Refer page no. 30-31
b.5	Make recommendations to the Board pertaining to External Auditors	Yes	Refer page no. 30-31
c.1	Names of the Audit Committee members shall be disclosed	Yes	Refer page no. 30-31
c.2	Audit Committee shall make a determination of the independence of the External Auditors	Yes	Refer page no. 30-31
c.3	Report on the manner in which Audit Committee carried out its functions.	Yes	Refer page no. 30-31

CORPORATE GOVERNANCE

STATEMENT OF COMPLIANCE UNDER SECTION 9.3.2 OF THE LISTING RULES OF THE CSE ON CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
a	Details pertaining to Non-Recurrent Related Party Transactions	Yes	Refer page no. 82
b	Details pertaining to Recurrent Related Party Transactions	Yes	Refer page no. 82
c	Report of the Related Party Transactions Review Committee	Yes	Refer page no. 33
d	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to RPT, or a negative statement otherwise	Yes	Refer page no. 43

STATEMENT OF COMPLIANCE PERTAINING TO THE COMPANIES ACT NO. 7 OF 2007

Rule	Governance Requirement	Compliance Status	Reference/ Comment
168 (1) (a)	The nature of the business together with any change thereof	Yes	Refer 1.2 item on page no. 54
168 (1) (b)	Signed financial statements of the Group and the Company	Yes	Refer page no. 49-89
168 (1) (c)	Auditors' Report on financial statements	Yes	Refer page no. 46-48
168 (1) (d)	Accounting policies and any changes therein	Yes	Refer page no. 53-63
168 (1) (e)	Particulars of the entries made in the Interests Register	Yes	Refer page no. 43
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company	Yes	Refer Note 8 on page no. 65
168 (1) (g)	Corporate donations made by the Company	Yes	Refer Note 8 on page no. 65
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during, and at the end of the accounting period	Yes	Refer page no. 43
168 (1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	Yes	Refer Note 8 on page no. 65
168 (1) (j)	Auditors' relationship or any interest with the Company and its Subsidiaries	Yes	Refer page no. 30-31
168 (1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	Yes	Refer page no. 50

Assurance

The Company conducts both internal and external audits on a regular basis to provide assurance with regards to internal controls and financial management, and to uphold compliance with corporate governance requirements.

Internal Audit

The Group's Internal Audit Department directly reports to the Audit Committee and conducts periodic reviews to ensure that the internal controls and procedures are consistently followed and complies with laws and regulations. A comprehensive annual audit plan is prepared to cover both operational and financial aspects of the Company. Any deviations from the existing internal controls and procedures are highlighted and remedial actions are recommended whenever necessary.

External Audit

The External Auditors' report assists the Board to determine the adequacy and effectiveness of the Company's internal controls and provides reasonable assurance on the credibility, reliability and integrity of the information presented in financial statements. Messrs. SJMS Associates Chartered accountants were the external auditors of Abans Electricals PLC and are responsible for the audit of the financial statements of the Company.

REPORT OF THE AUDIT COMMITTEE

The Board has established an Audit Committee through a charter that sets out the scope of functions and responsibilities of the Committee.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing quarterly and annual financial statements to ensure quality, transparency, integrity, accuracy and compliance with accounting standards, laws and regulations.
- Reviewing the adequacy of the Company's internal controls framework and effectiveness of established internal control procedures.
- Evaluating the Company's risk management mechanism and adequacy of steps taken to identify, assess and mitigate possible risks.
- Reviewing the adequacy and effectiveness of internal audit arrangements.
- Recommending the appointment, re-appointment and removal of the External Auditors.
- Monitoring the financial reporting process and providing assurance on the financial statements through an independent and objective assessment.
- Assisting the Board to discharge its responsibilities on ensuring the quality of financial reporting and information.

COMPOSITION

The Audit Committee comprised two (02) Independent Non-Executive Directors. During the year under review, the Committee consisted of the following members:

- Mr. Kumar De Silva (Chairman)
- Mr. D. M. R. Phillips

M/S Varners International (Pvt) Ltd served as the Secretary to the Audit Committee.

MEETINGS

Four (04) Audit Committee meetings were held to discuss, among other matters, the Reports of the Internal and External Auditors and Interim Financial Statements. The attendance of the members at these meetings were as follows.

Director	Attendance
Mr. Kumar De Silva, Committee Chairman	4/4
Mr. D M R Phillips	4/4

Other Directors, including the Group Chief Financial Officer, Chief Executive Officer of the Company, Heads of Finance of the Two Divisions (Manufacturing and Service), the Group Chief Internal Auditor and the External Auditors, were invited to attend these meetings, when required.

REPORTING OF FINANCIAL STATEMENTS

One of the primary activities of the Audit Committee during the year was to review the Company's quarterly and annual financial statements with other directors, management and the internal auditors, prior to publication. The reviews established that the statements and disclosures complied with the Sri Lanka Accounting Standards and other mandatory, statutory and regulatory requirements laid down by the authorities, and the appropriateness and changes in accounting policies and material judgmental matters.

The activities and views of the Committee were communicated to the Board of Directors on a quarterly basis through verbal briefings, and by tabling the minutes of the Committee meetings.

REPORTING ON INTERNAL AUDITS, RISK AND CONTROLS

The Company followed a Risk-Based Audit Methodology for assessing the effectiveness of internal control procedures, for the management of significant risks. The Committee reviewed the significant findings and recommendations which were prioritized based on the level of risk. The Committee followed up on Internal Audit recommendations with the Senior Management. Internal Audit Reports were made available to External Auditors as well.

REPORTING ON EXTERNAL AUDITS

The Committee reviewed the independence of the External Auditor and the effectiveness of the Audit process, as well as non-audit services provided by the Auditors, to ensure such services will not impair the External Auditor's independence and objectivity. Discussions were held with the External Auditor on their audit approach and procedure, including matters relating to the Scope of the Audit and the Auditor's Independence. The audited Financial Statements were reviewed with the External Auditor for conformity with the Sri Lanka Accounting Standards. The External Auditors were consulted without management being present, prior to the finalization of the Financial Statements to obtain an independent opinion.

CONCLUSION

Having reviewed the financial and internal controls of the Company, the Committee is satisfied with the operation of business activities, internal controls and procedures, compliance with laws and regulations, safeguards pertaining to assets, and the financial reporting system of the Company.

I extend my appreciations to the members of the Committee and all others who supported the Committee in discharging its duties.

Kumar De Silva

Chairman - Audit Committee

REPORT OF THE REMUNERATION COMMITTEE

The charter of the Remuneration Committee sets out the scope and objectives of the Committee, with the primary objective being to attract, retain and motivate suitably qualified Executive Directors and Key Management Personnel to execute company strategies. No remuneration is paid to the Non-Executive Directors other than the Directors fees paid for participation at Board meetings.

The scope of the Remuneration Committee is to recommend to the Board a competitive remuneration and reward structure for the organization, which incorporates performance-based incentives.

Remuneration of staff is based on the profile of the job holder and encompasses the base salary, benefits and fixed allowances (which is considered as guaranteed remuneration), alongside a variable pay scheme. Such variable pay schemes are designed to drive business goals and have been aligned with the goals of corporate governance.

The recommendations for remuneration are based on the guidelines of the Board of Directors, market comparators for similar positions and Group Compensation and Benefits Policy. In this system, every member of staff is informed of key result areas that will be judged, along with an objective performance evaluation system.

Based on market surveys carried out, the Company, has adopted measures while ensuring internal and external parity, which will support the organization to attract the right talent from external talent pools and retain high performers within the organization.

POLICY

The Remuneration Policy of Abans Electricals PLC focuses on attracting, motivating, and retaining staff with appropriate professional, managerial and operational expertise in order to achieve the goals and objectives of the Company.

COMPOSITION

The Remuneration Committee consisted of two (02) Independent Non-Executive Directors appointed by the Board of Directors. During the year under review, the Committee consisted of the following members:

- Mr. Kumar De Silva (Chairman)
- Mr. D. M. R. Phillips

MEETINGS

During the year under review, two (02) meetings were held by the Committee in order to discuss the staff performance appraisal system and its procedures, the performance bonus and its quantum, and remuneration and other benefits of executive and senior management. The recommendations were submitted to the Board.

The attendance at the Remuneration Committee meetings, held during the financial year 2021/22, is given below.

Director	Attendance
Mr. Kumar De Silva, Committee Chairman	2/2
Mr. D M R Phillips	2/2

CONCLUSION

Following its deliberations, the Committee is satisfied with the Company's recruitment, appraisal and remuneration policies and procedures, to facilitate the retention and development of the Company's Human Capital. The Committee concludes that the Company will have to continually evolve in its human resource policies to overcome the rising competition and recommends further adoption of technologies for human resource management.

Kumar De Silva

Chairman – Remuneration Committee

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

As stipulated by the Code on Related Party Transactions, of the Securities and Exchange Commission (SEC) of Sri Lanka, and the Listing Rules of the Colombo Stock Exchange (CSE), Abans Electricals PLC has established a fully functional Related Party Transactions Review Committee. The primary objective of the Committee is to exercise oversight, on behalf of the Board, to ensure compliance with the SEC and CSE directions. The Committee has also adopted best practices as recommended by the Institute of Chartered Accountants of Sri Lanka.

POLICIES AND PROCEDURES

The Company has in place a Related Party Transactions Policy, whereby the categories of persons / entities who shall be considered as “Related Parties” have been identified.

SCOPE OF THE COMMITTEE

- Ensure compliance by managing relationships with related parties
- Approve and review related party transactions, except those expressly exempted by the Rules
- Make determinations on whether specific related party transactions require Board approval, or shareholder approval
- In the case of recurrent related party transactions, establish guidelines for senior management to follow
- Ensure objectivity of assessments by ensuring that a Director who is a related party of a transaction, does not participate in discussions regarding the said transaction. Such participation of a ‘related party’ Director is permitted only under the express invitation of the Committee and only to provide information concerning the transaction.
- Ensure market disclosure and disclosure in the annual report, in a timely and detailed manner.
- Obtain knowledge, or expertise to assess all aspects of proposed related party transactions where necessary, including obtaining appropriate professional and expert advice from suitably qualified persons.
- Seek any information the Committee requires from Management, employees or external parties with regard to any transaction entered into, with a related party.

COMPOSITION

The three (03) member Committee comprised two (02) Independent Non-Executive Directors and one (01) Executive Director. The recommendations of the Committee were communicated to the Board of Directors, quarterly, through verbal briefings, and by tabling the minutes of the Committee meetings.

MEETINGS

During the year under review, four (04) Related Party Transactions Review Committee meetings were held.

M/S Varners International (Pvt) Ltd, the Company Secretaries, served as the Secretary to the Committee.

Director Attendance	
Mr. D. M. R. Phillips, Committee Chairman	4/4
Mr. Kumar De Silva	4/4
Mr. Behman Pestonjee	4/4

REVIEW OF RELATED PARTY TRANSACTIONS

In its deliberations the Committee concluded that related party transactions conducted during the year were recurrent in nature and necessary for the day-to-day operations of the Company. The terms of these transactions were not more favourable to the related party, than those generally available to the public.

The recurrent related party transactions mainly related to the sale of manufactured items to Abans PLC. It was noted that the total sale price offered was adjusted based on negotiations between the two parties, and the arrangement between the parties were taken into consideration, whereby Abans PLC has purchased a majority of the products manufactured by the Company.

DECLARATION

The Board has made a declaration regarding compliance with the Rules pertaining to related party transactions, which is published on page 43 of this Annual Report.

I extend my thanks to all members who served in the Committee, for their hard work and dedication.

D M R Phillips

Chairman - Related Party Transactions Review Committee

ENTERPRISE RISK MANAGEMENT

The year under review propelled the country, and the domestic business sector, into a hitherto uncharted environment, in which uncertainty and unpredictability was to become the norm. Within this highly unfavourable environment, the systematic and professional management of fast evolving risks became crucial for corporate success. The quality of Abans Electricals PLC's risk management system was put to the test once more and amply demonstrated its effectiveness during the year, in which the Company maintained a robust financial performance in spite of a plethora of emergent macro-environmental threats.

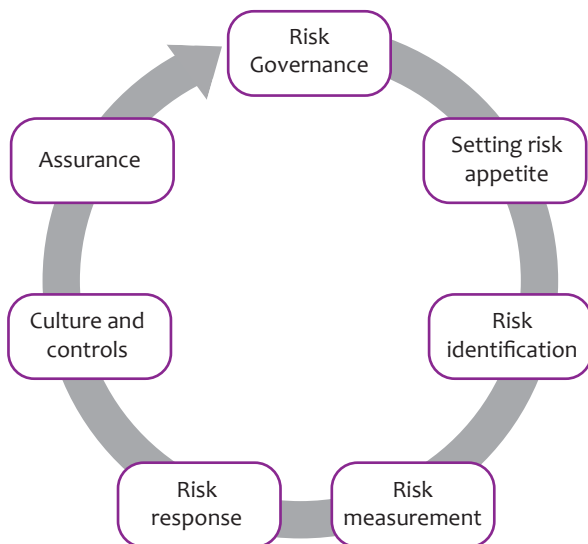
STRATEGIC OBJECTIVES

The risk management function at Abans Electricals has been fully integrated with the Company's strategic planning and short, medium and long-term objectives, to facilitate business sustainability and achieve financial and other growth targets. Therefore, the risk management function extends beyond the act of risk identification and response, to encompass the creation of an organisational culture of risk management and efficient management of all capitals of the Company.



ABANS ELECTRICALS PLC ENTERPRISE RISK MANAGEMENT FRAMEWORK

At Abans Electricals, risk management is an incessant, dynamic process, cutting across the entire organisation, and continually reviewed and updated for maximum effectiveness.



RISK GOVERNANCE

The risk governance process is headed by the Board of Directors, who are ultimately responsible for effective risk management. The Board is supported by the Audit committee in ensuring that all significant risks are identified assessed and managed efficiently and effectively

apart from their responsibilities of monitoring internal controls and engaging with internal and external auditors. Further, the Board regularly reviews defined risk functions and enhances risk management related policies and procedures and is responsible of defining the risk appetite, setting the risk objectives, approving risk management framework and approving policies for effective risk management.

RISK MANAGEMENT PROCESS

The risk management process encompasses:

Risk Identification

We identify risks by engaging with stakeholders, including our major shareholder Abans PLC, suppliers, government, employees, and others, and by continually monitoring economic variables which directly impact demand and supply dynamics.

Risk measurement and prioritisation

Risks are assessed and prioritised, based on impact and likelihood

ENTERPRISE RISK MANAGEMENT

Risk response

Based on risk-return dynamics, we respond to risks by either accepting, avoiding, or by adopting necessary actions for mitigation

Risk reporting

Ongoing reports are communicated to the Board and Audit Committee

CULTURE AND CONTROLS

To build a risk ownership culture and establish risk controls at individual level, we conduct regular staff training and awareness programmes. We encourage risk identification and communication by all grades of staff and do not limit these activities to the Board and management cadre.

ASSURANCE

The risk management process is continually evaluated and monitored to ensure effectiveness.

RISK PROFILE 2021/22

The unprecedented conditions that prevailed during the year, led to a dramatic shift in the Group's risk landscape, affecting both current performance as well as the short-to-medium term outlook. The significant risk exposures of the Company, potential impacts and the risk mitigation actions that are in place, are detailed below.

ECONOMIC AND BUSINESS RISKS

Risk	Impact	Significant Developments in 2021/22	Risk Mitigation	Risk Rating
Macro-economic risk	Political instability and the adverse economic environment impacted the Company's performance. Economic factors also impacted consumer confidence and purchasing power.	- Curfew/travel restrictions following the 2nd wave of COVID-19 and the delta variant in the second half of the year. - Customer demand declined due to high inflation, shortage of essential items, and shortage of foreign currency.	- Macro-economic changes were closely monitored, and business strategies were adapted to respond to external developments. - The Board and the Senior Management Team regularly reviewed the impact of economic conditions on the Company's strategic plans.	2020/21 – High 2021/22 – High
Government policy and regulation	Import restrictions did not directly impact operations, as the Company is engaged in local manufacturing. However, due to the foreign exchange shortage, licensed commercial banks prioritised imports of essential items, which resulted delays in importing raw material and other parts for manufacturing.	- Imposition of a 100% cash margin on certain imports - Import restrictions on certain non-essential items - CBSL directive to commercial banks to prioritise essential imports - CBSL restrictions on utilizing exporter proceeds and mandatory conversion rule	- Continuous dialogues and negotiations were maintained with key government institutions, various industry associations and trade chambers. - Long term plans and development approaches of the Government were regularly evaluated to seize opportunities.	2020/21 – High 2021/22 – High

ENTERPRISE RISK MANAGEMENT

FINANCIAL RISKS

Managing financial risks is a key element of overall risk management. This risk category involves interest rate risk, currency risk, credit risk and liquidity risk. The Finance Division, together with the Group Treasury and the Group Chief Financial Officer, are responsible to manage financial risks effectively and efficiently.

Risk	Impact	Significant Developments in 2021/22	Risk Mitigation	Risk Rating
Interest rate risk	The repeated increase in interest rates eroded profitability due to increased cost of borrowing.	Interest rates started rising particularly during the 2nd half of the financial year.	- Focused on recoveries and improved debt collection process - Closely monitored treasury management function to optimise and reduce borrowing cost - Maintained a strong relationship with lenders and leveraged the strength of the Abans Group to negotiate favourable terms of credit	2020/21 – Low 2021/22 – High
Currency risk	The currency shortage made it difficult to open LCs to import raw materials, which inhibited manufacturing activities. In addition, the rupee depreciation resulted in significant cost increases, which diluted operating margins.	- Crippling shortage of foreign currency - The Sri Lankan rupee depreciated rapidly and by a large amount against the US dollar - CBSL imposed cash margin requirements, incentive for foreign worker remittances, export proceeds conversion guidelines etc. - Banks required extended foreign supplier credit periods to manage the foreign currency pressure	- Encouraged foreign currency payments for all possible transactions by providing competitive prices - Increased local sourcing, or found local agents - Built inventory by placing orders in advance - Leveraged on relationships within the Abans Group to obtain the foreign currency - Revised selling prices in a timely manner - Maintained strict cost management and improved efficiencies and productivity	2020/21 – High 2021/22 – High

ENTERPRISE RISK MANAGEMENT

Risk	Impact	Significant Developments in 2021/22	Risk Mitigation	Risk Rating
Liquidity risk	Restrictions to contain the spread of COVID-19 impacted liquidity by slowing down business activities, and other Government policies also had negative impacts on liquidity.	- Curfew and travel restrictions due to recurrent COVID-19 waves - Most commercial banks postponed credit facility enhancements, or new facilities for imports - Suppliers either limited, or shortened, credit periods due to uncertainty in foreign exchange rates and the high rate of inflation	- The liquidity position was regularly reviewed and working capital risk was managed effectively - Negotiated with financial institutions to obtain extensions for existing import loans and to restructured borrowings under favourable terms. - Undrawn, committed credit facilities were maintained to meet short, medium and long-term funding requirements and any unforeseen commitments	2020/21 – Moderate 2021/22 – High
Credit risk	Collection delays were experienced due to the prevailing environment, which impacted financial performance. Abans PLC is the main client of the Company, while the balance are corporate clients, government and individual customers.	- Repeated disruptions of economic activities - Various corporates introduced supplier payment deferral policies - Rupee devaluation, fuel cost increases and interest rate increases caused business activities to decline	- Regularly monitored debt follow-up and collection process, and necessary actions were initiated against long outstanding debtors - Regular reviews and monitoring of creditworthiness and debtor age - Implemented contractual agreements with customers whenever necessary and significant payments were secured by bank guarantees and letters of credit - Company credit policy was shortened and tightened, and credit terms were allowed only for selected customers	2020/21 – Moderate 2021/22 – Moderate

ENTERPRISE RISK MANAGEMENT

OPERATIONAL RISKS

Risk	Impact	Significant Developments in 2021/22	Risk Mitigation	Risk Rating
Supply chain risk	Business operations and manufacturing activities were affected by supply chain delays and disruptions. The Company is dependent on international and local suppliers for manufacturing inputs and spare parts.	- Freight cost increased significantly due to limited port operations - Local supplies were disrupted due to travel restrictions - During the latter part of the year, fuel shortages and price increases caused delays - Foreign suppliers demanded international bank certifications and advance payments	- Advanced purchase orders were placed to secure adequate stocks - Procurement and distribution plans were continually reviewed - Alternative sourcing avenues were sought - Strong, long-lasting relationships are maintained with both foreign and local suppliers for preferential treatment	2020/21 – Moderate 2021/22 – High
Information technology risk	As the Company increasingly relies on IT systems any significant system failure will disrupt operations and impede the decision-making process.	- The pandemic shifted the office environment to a digital platform - Work-from-home models were continued using digital solutions - Cybersecurity threats and the threat to data security increased due to expansion of digital systems	- IT related policies and procedures for network and information security are available - Data bases and critical information were regularly backed-up - Investments were made in advanced cybersecurity software and infrastructure	2020/21 – Moderate 2021/22 – Moderate
Health and safety risk	Health and safety have direct implications on continuity of operations, and also impact employee morale. Disruptions to operations could prevent the Company from meeting market demand, and could reduce output volumes and thereby, revenue.	The 2nd and 3rd COVID-19 waves	- Adequate, preliminary level medical facilities are provided, and insurance policies are available for all employees - Stringent health and safety measures have been implemented across all operations - Personal hygiene related facilities and personal protective equipment are provided - Staff were directed to obtain vaccinations	2020/21 – High 2021/22 – High

ENTERPRISE RISK MANAGEMENT

Risk	Impact	Significant Developments in 2021/22	Risk Mitigation	Risk Rating
People related risk	A failure to attract, retain, develop and motivate suitable employees could impact operational and strategic objectives.	- The unemployment rate in Sri Lanka gradually increased - Many employers froze recruitments and laid-off employees - Employee stress increased due to rising cost of living and shortage of essential items, which indirectly impacted productivity - Brain drain from the country resulted in shortages of skilled labour	- All attempts were made to recruit the best people with the right skills - A performance - based reward system, succession planning and career development programmes have been implemented - Remuneration packages are periodically evaluated to correspond with industry pay rates - Procedures are in place to handle grievances and staff complaints - Employee welfare activities were expanded, and financial support was provided, when required	2020/21 – Moderate 2021/22 – Moderate
Environment related risk	The Company is exposed to risks from losses that arise due to negative environmental impacts on business activities and/ or, non-compliance with environmental regulations.	Consumption of plastics, chemicals, rubber, steel, and energy, increased during the year, due to growth in local manufacturing.	- Industry best practices and ISO standards have been adopted - All premises and processes comply with environmental regulations - Collaborated regularly with relevant environmental regulatory bodies - Continued to recycle and reuse damaged and quality rejected plastic components to minimise non-degradable waste - All waste is disposed through approved organisations - Have adopted solar power for renewable energy	2020/21 – Moderate 2021/22 – Moderate

ENTERPRISE RISK MANAGEMENT

MARKET PLACE RISKS

Risk	Impact	Significant Developments in 2021/22	Risk Mitigation	Risk Rating
Reputational risk	Uncontrollable events, or negative public perception, can damage the Company's reputation, including unavailability and quality concerns regarding products, and delays in service delivery.	- Lockdowns and travel restrictions significantly affected the prompt delivery of after sale services, during COVID-19 episodes - Fuel shortages prevented prompt delivery of services - Shortages of spare parts caused delays in responding to customer repair and servicing needs.	- We obtained regular customer feedback to monitor customer satisfaction levels - Operational teams responded promptly and acted on complaints and suggestions - Complied with statutory environmental regulations and quality standards (ISO 9001: 2008) - Continuous training, quality management and assurance programmes were conducted to improve product quality	2020/21 – High 2021/22 – High

ANNUAL REPORT OF THE BOARD OF DIRECTORS

INTRODUCTION

The Directors are pleased to present the annual report of the Board of Directors, including the audited financial statements and other relevant information for the year ended 31st March 2022, at the 40th Annual General Meeting of Abans Electricals PLC. The financial statements should be read in concurrence with the Chairperson's Statement and the Management Discussion and Analysis for detailed explanations on the activities of the Company during the year. This report was approved by the Board of Directors on 31st August 2022.

PRINCIPAL ACTIVITIES

The principal activities of the Company are manufacturing, assembling and installation of selected consumer durable products, provision of repair and maintenance services for a wider range of household electric and electronic appliances and installation of roof top Solar PV Systems. The Company engages in its manufacturing activities and services delivery, via two separate divisions.

(a) Manufacturing Division

The primary activity of the Manufacturing Division is the production of a number of consumer durable products under the "Abans" brand name, as well as in collaboration with internationally recognised brand names.

(b) Service Division

The Service Division is engaged in the installation, repair, maintenance and after sales services of electrical and household appliances sold by the Abans Group. It is also involved in the installation of roof top Solar PV Systems.

REVIEW OF BUSINESS OPERATIONS

A review of business operations and financial status are presented in the Chairperson's Statement. In addition, the Management Discussion and Analysis section discusses the financial and operational status of the Company in greater detail under capitals chapters.

FINANCIAL STATEMENTS AND THE REPORT OF THE AUDITORS

The financial statements of the Company for the year ended 31st March 2022, have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and form an integral part of this annual report. The financial statements of the Company, duly certified by the two divisional Heads of Finance and approved by two Directors in compliance with the Companies Act, are given from pages 49 to 89 of this annual report. The Independent Auditors' Report on the Financial Statements of the Company is given on pages 46 to 48.

Please refer the Chairperson's Statement and the Financial Capital chapter for explanations on the financial status of the Company.

		2021/2022	2020/2021
Revenue	LKR '000	4,329,171	3,129,718
Profit/(loss) before tax	LKR '000	134,488	163,615
Tax saving/(expense)	LKR '000	(30,273)	1,673
Profit/(loss) after tax	LKR '000	104,215	165,288
Total comprehensive income - net of tax	LKR '000	117,144	232,980
Profit available for appropriation	LKR '000	1,088,537	986,724
Ordinary dividend per share (paid)	LKR	3.00	1.50

ACCOUNTING POLICIES

The Accounting Policies adopted by the Company during the financial year have not undergone any material changes, and all significant accounting policies are mentioned in the Notes to the financial statements.

DIVIDENDS

In compliance of Section 56(2) of the Companies Act No 7 of 2007, the Board of Directors have confirmed that the Company satisfies the solvency test in accordance with Section 57 of the Companies Act No 7 of 2007, and have obtained certificates from the Auditors confirming this status.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

Having complied with the above requirements, the Directors recommend a final dividend of LKR 5.00 per ordinary share for the financial year ended 31st March 2022.

CAPITAL EXPENDITURE

The total investment on property, plant and equipment, including intangible assets, for the financial year 2021/22 was LKR 180,751,741 (FY 2020/2021, LKR 37,410,553). Please refer Note 12 & 15 to the financial statements for all related information and movements pertaining to this expenditure.

The Company added to intangible assets by investing in a computer software to the value of LKR 500,000 during the financial year (2020/2021 LKR 3,300,000/-). All the related

information and movements in this regard have been disclosed in Note 15 to the financial statements.

VALUATION ON LAND, BUILDINGS AND INVESTMENT PROPERTIES

All investment properties at Panadura were revalued as at 31st March 2022, and the carrying value amounted to LKR 42.55 Million (2020/2021 LKR 37.0 Million).

The carrying value of land and buildings as at balance sheet date of the FY 2021/2022, was LKR 985.25 Million (As at 31st March 2021, LKR 970.02 Million). Please refer the table below for the valuation of the Company's land, buildings and other properties.

Land Location	No. of Buildings	Perches	Market Value LKR	Revalued Date
Wellawatta	1	39.58	457,159,396	31.03.2021
Ratmalana	3	95.21	229,225,500	31.03.2021
Kandy	1	18.70	80,500,000	31.03.2021
Boralesgamuwa	-	83.10	71,650,000	31.03.2021
Negombo	1	31.10	46,488,000	31.03.2021
Galle	1	13.24	85,000,000	31.03.2021
Panadura	-	44.80	42,550,000	31.03.2022

INVESTMENTS

A description of the long-term investments held by the Company as at 31st March 2022, is disclosed in Notes 16 to the financial statements.

STATED CAPITAL

The state capital of the Company as at 31st March 2022 was LKR 186.7 Million (As at 31st March 2021 LKR 186.7 Million). The movement and composition of the stated capital are disclosed in the Statement of Changes in Equity and in Note 22 to the financial statements.

REVENUE RESERVES

The Company had in its position as at 31st March 2022 revenue reserves of LKR 1,088.54 Million (As at 31st March 2021, LKR 986.72 Million). The movement and composition of the revenue reserves are disclosed in the Statement of Changes in Equity.

SHARE INFORMATION

Information regarding shares and the shareholders of the Company as at 31st March 2022, are given in page no. 90 to 91 of the annual report. This includes the composition and distribution of shareholders and the details relating to earnings, dividends, net assets, market value per share and share trading, market capitalisation, public holding percentage and number of public shareholders are given on the same.

MAJOR SHAREHOLDERS

The names and percentage of shareholdings, of the 20 largest shareholders of the Company, are listed in page no. 91 of the annual report.

EQUITABLE TREATMENT OF SHAREHOLDERS

The Company believes in the equitable treatment of all shareholders and has at all times ensured this principle in application during the year.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

INFORMATION PERTAINING TO THE BOARD OF DIRECTORS

Please refer the Board of Directors section of this annual report for profiles of the Directors and the Corporate Governances chapter for details regarding retirement and re-election to the Board, review of the performance of the Board and Board Committees.

DIRECTORS' INTERESTS

Directors' interests in contracts of the Company are included in Note No. 31 to the financial statements. The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct, or indirect, interest in any other contract, or proposed contract, of the Company.

Shareholdings of the Directors and Chief Executive Officer (CEO) are stated below;

Name		Beginning of the Year No. of Shares	End of the Year No. of Shares
Mrs. Aban Pestonjee	Director	293,438	293,438
Mr. Behman Pestonjee	Director	182,127	176,505
Mr. Athula Siriwardane	Director	Nil	Nil
Mr. Kumar De Silva	Director	Nil	Nil
Mr. D M R Phillips	Director	Nil	Nil
Mr. Jagath Jayasundara	CEO	Nil	Nil

DIRECTORS' REMUNERATION

Details of the remuneration and other benefits received by the Directors are disclosed in Note 08 and 31 to the financial statements.

RELATED PARTY TRANSACTIONS

The Company is in compliance with Rule 09 of the Listing Rules of the Colombo Stock Exchange pertaining to related party transactions, during the financial year. The Company's transactions with Related Parties, given in Note 30 to the Financial Statements, have complied with Colombo Stock Exchange Listing Rule 9.3.2 and the Code of Best Practice on Related Party Transactions, under the Securities and Exchange Commission Directive, issued under Section 13(c) of the Securities and Exchange Commission Act.

EMPLOYMENT

Please refer the Human Capital chapter of this annual report. There are no further material, employee related, or industrial relations related matters to be disclosed.

CORPORATE GOVERNANCE

Please refer the Corporate Governance chapter for details on compliance status.

DONATIONS

No donations were made during the year (LKR 144,000 in 2020/2021)

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

COMPLIANCE WITH LAWS AND REGULATIONS

To the best of the knowledge and belief of the Directors, the Company has not engaged in any activity, which contravenes laws and regulations of the country.

RISK MANAGEMENT AND INTERNAL CONTROL

A brief discussion on Enterprise Risk Management is given on page no 34 to 40 of this annual report.

EVENTS SUBSEQUENT TO THE BALANCE SHEET DATE

There are no circumstances since the Balance Sheet date, which would require adjustments to, or disclosure in the accounts, other than those disclosed in Note No. 33 to the financial statements.

MAJOR TRANSACTIONS

There were no major transactions of material effect, other than those which are disclosed in the annual report.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

GOING CONCERN

The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future, to justify adopting the going concern basis in preparing these financial statements.

INDEPENDENT AUDITORS

In terms of Section 158 of the Companies Act No. 07 of 2007, the Directors have resolved to appoint Messrs Ernst & Young, Chartered Accountants as Auditors of the Company for the ensuing year in place of retiring Auditors Messrs SJMS Associates, Chartered Accountants and a resolution proposing their appointment, authorising the Directors to determine the remuneration of the Auditors, will be tabled at the Annual General Meeting. The Audit Committee reviews the appointment of the Auditor, its effectiveness, independence and relationship with the Company, including fees paid to the Auditor.

REPORTS TO THE PUBLIC

The quarterly financial statements and annual report were published, enabling stakeholders and the public to make a fair appraisal of the Company's performance.

ANNUAL GENERAL MEETING

We hereby notify that the 40th Annual General Meeting of Abans Electricals PLC will be held as a virtual meeting on 28th September 2022 at 10:00 a.m.

This Annual Report is signed for, and on behalf, of the Board of Directors.

By Order of the Board,
Sgd

Varners International (Private) Limited
Secretaries
Colombo

THE STATEMENT OF DIRECTORS' RESPONSIBILITY

The Director's responsibilities as stipulated by the Companies Act No 7 of 2007 and Listing Rules of the Colombo Stock Exchange, are listed below:

- The Board of Directors are responsible under sections 150 (1), 151, 152 (1) & 153 of the Companies Act No. 7 of 2007 for preparing the financial statements of the Company in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS), while selecting and applying appropriate accounting policies, reasonable and prudent judgments and estimates, on a consistent basis and material departures if any, have been disclosed and explained.
- The Directors are also required to ensure that the Company has adequate resources to continue operations in the foreseeable future to justify applying the going concern basis in preparing these financial statements.
- The Directors shall ensure that the said financial statements provide the required information and make relevant disclosures, to comply with the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange.
- The Directors are also responsible to establish a proper internal control system to prevent and detect fraud and other financial irregularities to safeguard assets, and to execute and record all transactions with proper authorisation.
- The Directors are required to provide the external auditors with every opportunity to carry out reviews and tests, which are appropriate to perform their responsibilities and express their opinion regarding the financial statements of the Company.

The Directors are of the view that they have discharged their responsibilities with regard to the above provisions, and the Directors' compliance with the above responsibilities in relation to the financial statements of the Company, is set out below. The responsibility of Independent Auditors in relation to the financial statements prepared in accordance with the provision of Companies Act No. 07 of 2007 ("the Act") and SLFRS is set out in the Independent Auditors' report.

The financial statements have been presented according to the Sri Lanka Accounting Standards (SLFRS/LKAS). The Statement of Profit and Loss and Other Comprehensive Income presents a true and fair view of the profit and loss of the Company for the financial year, and the Statement of Financial Position, presents a true and fair view of the state of affairs of the Company as at the end of the financial year and complies with the requirements of The Companies' Act and SLFRS.

The internal auditors conducted periodic audits to ensure the established policies and procedures were consistently followed. The Audit Committee of the Company met periodically with the internal auditors and the independent external auditors to review the progress of the annual audit plan and to discuss key matters pertaining to auditing, internal controls, and financial reporting. Following a review and recommendation by the Audit Committee, the Board of Directors approved the Interim Financial Statements prior to release.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

By order of the Board

Sgd
Varners International (Private) Limited
Secretaries
Colombo

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company"), which comprise the statement of financial position as at 31 March 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2022, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Revenue recognition	How our audit addressed the key audit matters
As stated in note 5 in these financial statements, Company's revenue consists of sale of manufactured goods and rendering of services amounting to Rs. 4,329,171,211. Due to the magnitude of revenue reported and higher risk associated with the revenue recognition and measurement, we have considered it as a Key Audit Matter.	Our audit procedures which included, amongst others, the following: - Reviewed the revenue recognition policy applied by the Company and its compliance with SLFRS 15 Revenue from Contracts with Customers. - We obtained the process understanding of the revenue cycle and evaluated the designing and operating effectiveness of the controls used by the management. - Performed test of details by checking the original source documents and substantive analytical procedures as applicable on the revenue generated during the period. - Assessed the adequacy of related disclosures on revenue in the financial statements with reference to the disclosure requirements given in SLFRS 15.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance, conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such an internal control, as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuS, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud that is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubts on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

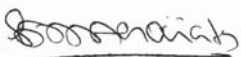
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2347.



SJMS ASSOCIATES
Chartered Accountants
Colombo
31 August 2022

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 MARCH 2022

	Note	2021/2022 Rs.	2020/2021 Rs.
Revenue	5	4,329,171,211	3,129,717,820
Cost of sales		(3,753,856,792)	(2,656,362,906)
Gross profit		575,314,419	473,354,914
Other income	6	59,246,214	102,133,856
Change in fair value of investment property	14	5,550,000	1,000,000
Marketing and distribution expenses		(70,970,622)	(57,949,873)
Administrative expenses		(319,343,277)	(285,805,443)
Finance and other expenses	7	(115,308,316)	(69,118,331)
Profit before taxation	8	134,488,418	163,615,123
Tax expenses	9	(30,273,352)	1,672,635
Profit for the year		104,215,066	165,287,758
Other comprehensive income net of tax			
Items that will not be reclassified subsequently to comprehensive income:			
Actuarial gain or loss on defined benefit obligations net of tax		12,929,129	(2,891,640)
Gain on revaluation of property, plant and equipment net of tax		-	70,584,152
Other comprehensive income for the year-net of tax		12,929,129	67,692,512
Total comprehensive income for the year		117,144,195	232,980,270
Earnings per share - basic/ diluted	10	20.39	32.34
Dividends per share (Paid)	11	3.00	1.50

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

FOR THE YEAR ENDED 31 MARCH 2022

	Note	31.03.2022 Rs.	31.03.2021 Rs.
Non Current Assets			
Property, plant and equipment	12	1,393,953,962	1,299,223,082
Right of use assets	13	48,930,812	60,340,204
Investment property	14	42,550,000	37,000,000
Intangible assets	15	-	5,735,855
Financial investments	16	366,918,697	347,663,251
Total Non Current Assets		1,852,353,471	1,749,962,392
Current Assets			
Inventories	17	2,162,729,011	1,263,195,393
Trade and other receivables	18	297,295,263	293,316,835
Advances, deposits and prepayments	19	294,707,987	48,865,954
Amounts due from related parties	20	529,811,645	371,366,710
Cash at bank and in hand	21	200,200,653	66,540,611
Total Current Assets		3,484,744,559	2,043,285,503
Total Assets		5,337,098,030	3,793,247,895
Capital and Reserves			
Stated capital	22	186,732,000	186,732,000
Revaluation reserve	22.1	483,333,111	483,333,111
Retained earnings		1,088,536,765	986,724,250
Total Equity		1,758,601,876	1,656,789,361
Non Current Liabilities			
Borrowings	23.1	107,308,251	119,425,529
Deferred service income	28	44,665,254	16,136,008
Retirement benefit obligation	24	81,964,076	96,038,153
Deferred tax liability	25	112,342,000	122,472,129
Total Non Current Liabilities		346,279,581	354,071,819
Current Liabilities			
Trade and other payables	26	1,838,713,698	865,118,692
Income tax payable	27	38,803,615	38,238,528
Deferred service income	28	181,569,117	163,464,845
Amounts due to related parties	29	56,251,108	13,694,896
Borrowings	23.2	1,116,879,035	701,869,754
Total Current Liabilities		3,232,216,573	1,782,386,715
Total Liabilities		3,578,496,154	2,136,458,534
Total Equity and Liabilities		5,337,098,030	3,793,247,895

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.

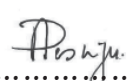


 Head of Finance
 (Manufacturing Department)



 Head of Finance
 (Service Department)

The Board of Directors is responsible for the preparation and presentation of these financial statements-
Signed for and on behalf of the Board of Directors by the following on 31 August 2022.



 Director



 Director

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 MARCH 2022

	Stated Capital Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Equity Rs.
Balance as at 1 April 2020	186,732,000	412,748,959	831,993,972	1,431,474,931
Net profit for the year	-	-	165,287,758	165,287,758
Other comprehensive income for the year	-	70,584,152	(2,891,640)	67,692,512
Final dividend 2019/2020	-	-	(7,665,840)	(7,665,840)
Balance as at 31 March 2021	186,732,000	483,333,111	986,724,250	1,656,789,361
Net profit for the year	-	-	104,215,066	104,215,066
Other comprehensive income for the year	-	-	12,929,129	12,929,129
Final dividend 2020/2021	-	-	(15,331,680)	(15,331,680)
Balance as at 31 March 2022	186,732,000	483,333,111	1,088,536,765	1,758,601,876

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 MARCH 2022

	Note	2021/2022 Rs.	2020/2021 Rs.
Net profit before taxation	8	134,488,418	163,615,123
Adjusted for:			
(Profit) / loss from sale of property, plant and equipment	6 & 7	3,974,151	(22,109,409)
Depreciation and amortisation	8	87,629,660	78,029,878
Amortization of right of use assets	8	27,978,323	20,151,518
Defined benefit plan costs	24	11,788,520	19,079,355
Finance expenses	7	115,308,316	69,118,331
Interest income	6	(20,229,963)	(25,748,808)
Bad debts (reversal) / provision	18.1	13,234,844	10,234,467
Provision for obsolete stock	17.1	29,267,357	9,240,216
Change in fair value of investment property	14	(5,550,000)	(1,000,000)
Interest cost on lease liability	23.4	6,805,849	9,731,080
Deferred income	28	(140,768,429)	(168,960,147)
Cash flow from operating activities before working capital changes		263,927,046	161,381,604
(Increase) / decrease in trade and other receivables		(17,213,272)	(70,542,983)
(Increase) / decrease in deposits, advances and prepayments		(245,842,033)	(14,226,595)
(Increase) / decrease in inventories		(928,801,027)	(524,546,905)
(Increase) / decrease in amounts due from / to related companies		(115,888,723)	(48,437,643)
Increase / (decrease) in trade and other payables and deferred income		1,160,996,953	471,815,082
Tax paid	27	117,178,944	(24,557,440)
Interest paid		(43,374,918)	(20,019,399)
Gratuity paid	24	(111,400,811)	(69,493,703)
		(9,396,892)	(11,460,756)
Net cash flows (used in) / from operating activities		(46,993,677)	(125,531,298)
Investing activities			
Interest income	6	20,229,963	25,748,808
Purchase of property, plant and equipment and intangible asset	12 & 15	(180,751,741)	(37,410,553)
Proceeds from disposal of property, plant and equipment		152,905	27,894,432
Investment in fixed deposits		(19,255,446)	(25,563,484)
Net cash flows (used in) / from investing activities		(179,624,319)	(9,330,797)
Financing activities			
Dividend paid		(15,331,680)	(7,665,840)
Receipt of loan term loans	23.3	75,000,000	-
Repayment of long term loans	23.3	(48,709,796)	(24,370,337)
Repayment of long term lease liabilities	23.4	(36,441,321)	(28,994,071)
Net movement in short term loans		224,548,547	249,714,788
Net cash flows (used in) / from financing activities		199,065,750	188,684,540
Net increase / (decrease) in cash and cash equivalents		(27,552,246)	53,822,445
Cash and cash equivalents at the beginning of the year		66,540,611	12,718,166
Cash and cash equivalents at the end of the year		38,988,365	66,540,611
Cash and cash equivalents at the beginning of the year			
Cash at bank and in hand		66,540,611	36,946,040
Bank overdrafts		-	(24,227,874)
		66,540,611	12,718,166
Cash and cash equivalents at the end of the year			
Cash at bank and in hand	21	200,200,653	66,540,611
Bank overdrafts	23.5	(161,212,288)	-
		38,988,365	66,540,611

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

1. Corporate information

1.1 General

Abans Electricals PLC is a public limited liability Company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the Company is located at 498, Galle Road, Colombo 3 and the principal place of business is situated at 126, Airport Road, Ratmalana, and 506B Galle Road, Colombo 06.

1.2 Principal activities and nature of operations

The principal activities of the Company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services of similar type of appliances and installation of roof top Solar PV systems.

1.3 Parent entity

The Company does not have an identified Parent. However, Abans PLC has a significant influence over the Company through the holding of a 48% (2019- 42.95%) equity stake.

1.4 Date of authorization for issue

The financial statements of the Company for the year ended 31 March 2022 was authorized for issue by a resolution of the Board of Directors on 31 August 2022.

2. Basis of preparation

2.1 Statement of compliance

The financial statements of the Company (statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) is prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2 Basis of measurement

The financial statements have been prepared on a historical cost basis, except the defined benefit obligation, which is recognized at its present value and Property Plant & Equipment (Land and building) which are carried at revalued amounts and Investment Property which are carried at fair value.

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the Company's functional currency and presentation currency. All financial information presented in Sri Lankan Rupees is rounded to the nearest rupee unless otherwise stated.

2.3.1 Foreign Currency

Transactions in foreign currencies are initially recorded by the Company at their respective functional currency spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated or Loss, in which case the increase is recognised in the statement of profit or loss.

2.4 Amendments in accounting standards

Amendments to SLFRS 16

Impact of the initial application of Covid-19-Related Rent Concessions Amendment to SLFRS 16. In May 2020, the IASB issued Covid-19-Related Rent Concessions (Amendment to SLFRS 16) that provides practical relief to lessees in accounting for rent concessions occurring as a direct consequence of COVID-19, by introducing a practical expedient to SLFRS 16. The practical

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expedient permits a lessee to elect not to assess whether a COVID-19 related rent concession is a lease modification. A lessee that makes this election shall account for any change in lease payments resulting from the COVID-19 related rent concession the same way it would account for the change applying SLFRS 16 if the change were not a lease modification.

The practical expedient applies only to rent concessions occurring as a direct consequence of COVID-19 and only if all of the following conditions are met:

- a) The change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change;
- b) Any reduction in lease payments affects only payments originally due on or before 30 June 2021 (a rent concession meets this condition if it results in reduced lease payments on or before 30 June 2021 and increased lease payments that extend beyond 30 June 2021); and
- c) There is no substantive change to other terms and conditions of the lease.

2.5 Materiality and aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. Significant accounting judgments, estimates and assumptions

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the company to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The Company is subject to Income Taxes and other taxes including Value Added Tax and Excise duty Significant judgment was required to determine the total provision for current, deferred and other taxes.

The Company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the Income Tax and, deferred tax amounts in the period in which the determination is made.

b) Useful life-time of the property, plant and equipment, intangible assets

The Company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these

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values, rates, methods and hence they are subject to uncertainty.

c) Fair value measurement of property, plant and equipment (Land and buildings) and investment properties

Property, plant and equipment and investment properties of the company are measured at fair value for the purposes of preparing the financial statements.

Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment properties are disclosed in note 14.

d) Going concern

The Directors have made an assessment of the Company's ability to continue as a going concern by considering the factors of the recent economic crises and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the financial statements continue to be prepared on the going concern basis.

e) Impairment losses on financial assets – Trade receivables

The Company determines the impairment losses on trade receivables based on the expected loss model. This involves significant judgments in determining the future losses expected to be derived, due to the default in future payments, by the debtors.

f) Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations.

An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future salary increase rate of the Company.

4. Summary of significant accounting policies

The significant accounting policies applied by the Company in preparation of its financial statements are included below.

4.1 Revenue recognition

The Company recognizes revenue from contracts with customers when control of the goods or services is transferred to the customer at an amount that reflects the consideration that the Company is to be entitled in exchange for those goods or services. Determining the timing of the transfer of control of goods or services, at a point in time or over time, requires judgements taking into consideration the nature of goods or services that Company offers.

When contracts include multiple deliverables, Where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the stand alone selling prices. Where these are not directly observable, they are estimated based on expected cost plus margin.

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Sale of goods

Revenue from the sale of goods is recognised at the point in time when control of the goods is transferred to the customer, usually on delivery of the goods. Sales are measured at the fair value of the consideration received or receivable excluding amounts collected on behalf of third parties (e.g. Sales taxes).

Rendering of services

Revenue from rendering of services is recognised when the service is performed.

Revenue recognised over the period

Revenue from the contract that is taken more than one financial year is recognized based on stage of completion as of the reporting date.

Revenue from project work is recognized in accordance with the company's accounting policy as described in paragraph titled "Work-In-Progress".

4.1.1 Contract liabilities

Advances received from the customers for the future maintenance services are recognized as deferred service income at the time of related payment is made by the customers. This has been categorized as a contract liability as per SLFRS 15. Upon the delivery of such maintenance services the related consideration is recognized in the revenue.

Deferred income

The service income of the Company is recognized over the warranty period, since the Company is obliged to provide service for the agreed warranty period.

4.1.2 Interest income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.3 Dividend income

Dividend income is recognised in the statement of comprehensive income on an accrual basis when the Company's right to receive the dividend is established.

4.1.4 Other income

Other income is recognized on an accrual basis.

4.2 Expenditure recognition

Expenses are recognized in the statement of comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company's performance.

Income Tax expense comprises current and deferred tax. Income Tax expense is recognised in the statement of comprehensive income.

4.3 Taxation

4.3.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

4.3.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

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Deferred tax assets are recognised for all deductible differences. The carrying amount of a deferred tax asset is reviewed at each reporting date and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each date of the statement of financial position and are recognised to the extent that it is probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or substantially enacted at the reporting date.

4.4 Non-financial asset

4.4.1 Property, plant and equipment

Recognition and measurement

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost model

The Company applies the cost model to property plant and equipment except for freehold land and building.

Revaluation model

The entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. The fair value of land and buildings are determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets. Such properties are carried at revalued amounts, less any subsequent

accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement, in which case the increase is recognised in the income statement to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the income statement and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the income statement. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent measurement

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognised in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment.

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rate of depreciations is based on the estimated useful life.

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FOR THE YEAR ENDED 31 MARCH 2022

Category of asset	Useful life	
	2022	2021
Buildings and installations	Over 40 years	Over 40 years
Plant and machinery	Over 10 years	Over 10 years
Furniture and fittings	Over 10 years	Over 10 years
Fixtures and fittings	Over 10 years	Over 10 years
Office equipment	Over 10 years	Over 10 years
Tools	Over 10 years	Over 10 years
On loan assets	Over 5 years	Over 5 years
Motor vehicles	Over 4 years	Over 4 years
Computer equipment	Over 4 years	Over 4 years

The asset's residual values, useful life and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of comprehensive income in the year the asset is de-recognised.

4.4.2 Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (LKAS 40) – Investment Properties. The cost of the investment property comprises of its purchase price and any directly attributable expenditure and changes to fair value recognized in Profit or loss.

4.4.3 Intangible assets – Computer software

Basis of recognition

An intangible asset is recognized if it is probable that future economic benefits

that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software cost incurred, licensed to be used by the Company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the statement of financial position under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent expenditures

Subsequent expenditures on software assets are capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortization

Amortization is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is estimated as four (4) years.

Amortization methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

De-recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of such intangible assets is included in profit or loss when the item is derecognised.

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4.4.4 Leases

Lease liability

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee.

The Company as a lessee

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in substance fixed payments), less any lease incentives receivable;

The lease liability is presented in note 23 to the financial statement.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a

revised discount rate at the effective date of the modification.

The Company did not make any such adjustments during the periods presented.

Right of use assets

The Company recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment. The Company did not have any short - term or low - value lease assets.

The right-of-use assets are presented as a separate line in the statement of financial position.

The Company applies LKAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non-financial assets' policy.

4.5 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

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Raw materials :	At actual cost on FIFO (first-in first-out) basis
Work-in –progress :	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour
Manufactured finished goods :	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods :	At actual cost on first-in first-out basis
Consumables and spares :	At actual cost on first-in first-out basis
Goods in transit :	At actual cost

4.6 Financial instruments – recognition and measurement

4.6.1 Financial assets

Financial assets are initially recognised at fair value plus directly attributable transaction costs. However, when a financial asset measured at fair value through Profit or Loss is recognised, the transaction costs are expensed immediately. Subsequent remeasurement of financial assets is determined by their categorisation, which is revisited at each reporting date. The settlement date is used for both initial recognition and subsequent derecognition of financial assets, as these transactions are generally under contracts that terms which require delivery within the time frame established by regulation or convention in the market place (regular-way purchase or sale) The classification of financial assets is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. On initial recognition, a financial asset is classified and as measured either:

- At amortised cost;
- At Fair Value through Other Comprehensive Income (FVOCI); or
- At Fair Value through Profit or Loss (FVTPL)

All financial assets not classified as measured at amortised cost or FVOCI are measured at FVTPL. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI, as at FVTPL, if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent Measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through Other Comprehensive Income (FVTOCI)
- Financial assets at fair value through profit or loss (unless measured at amortised cost or FVTOCI)
- Financial assets at fair value through profit or loss

However, the financial assets of the Company are limited to the categories of financial assets at amortised cost (debt instrument) and financial assets fair value through other comprehensive Income (FVOCI)

a) Equity investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Companies Financial Assets Classified Fair Through OCI which is in other investments Note 16.

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b) Financial assets at amortised cost (debt instruments)

The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. Financial assets at amortised cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The company's financial assets at amortised cost includes cash and short-term deposit, trade and other receivables and other financial assets.

4.6.2 Impairment of Financial Assets

The Company recognizes expected credit losses for trade receivables. The ECL allowance is based on the credit losses expected to arise over the life of the asset. For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

4.6.3 Financial liabilities at amortised cost

Financial liabilities are initially recognised at the fair value of consideration received, less directly attributable transaction costs.

Subsequent to the initial measurement, financial liabilities are recognised at amortised cost. The difference between the initial carrying amount of the financial liabilities and their redemption value is

recognised in the statement of profit or loss and other comprehensive income over the contractual terms using the effective interest rate method. This category includes trade and other payables, as well as other financial liabilities.

Financial liabilities at amortised cost are further classified as current and non-current depending on whether these will fall due within 12 months after the reporting date or beyond.

Financial liabilities are derecognised (in full or partly) when the obligation specified in the contract is either discharged, cancelled, expired or replaced by a new liability with substantially modified terms.

a) Loans and Borrowings (Financial Liabilities at Amortised cost)

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss. This category generally applies to interest-bearing loans and borrowings. For more information, refer to Note 23

4.7 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

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4.8 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.9 Employee Benefits

4.9.1 Defined benefit plan – Gratuity

The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The Company's obligations under the said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.9.2 Defined contribution plan

A defined contribution plan is a post employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively on the salary of each employee to the Employees' Provident Fund.

b. Employees' Trust Fund

The Company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.10 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of comprehensive income net of any reimbursement.

4.11 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.12 Segmental information

For management purposes, the Company has organized two operating segments based on Operating Divisions, as follows:

- Manufacturing
- Services

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income Taxes are managed on a company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.13 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption

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that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1-	Quoted (unadjusted) market prices in active markets for identical assets or liabilities
Level 2 -	Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
Level 3-	Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

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	Note	2021/2022 Rs.	2020/2021 Rs.
5. Revenue			
Manufacturing department	5.1	3,603,482,023	2,465,505,541
Service department	5.2	725,689,188	664,212,279
		4,329,171,211	3,129,717,820
5.1 Manufacturing department			
Over the period		42,234,775	82,262,707
Point in time		3,561,247,248	2,383,242,834
		3,603,482,023	2,465,505,541
5.2 Service department			
Over the period		105,450,538	124,623,564
Point in time		620,238,650	539,588,715
		725,689,188	664,212,279
6. Other income			
Scrap and sundry parts sales		9,352,068	7,395,205
Transport and warehouse income		15,970,393	16,068,854
Interest income		20,229,963	25,748,808
Insurance claim		85,862	384,566
Interest on employee loans		496,887	1,066,439
Profit from sale of property, plant and equipment		-	22,109,409
Exchange gain		-	6,179,906
Rent income		2,116,800	3,667,333
Solar power generation income		-	10,486,564
Mobile phone reimbursement income		370,370	557,077
Registration fees income		-	46,000
Income from mobile bus		721,647	-
Discount		-	21,777
Income from shared services		9,323,294	5,879,756
Covid - 19 rent concession		578,930	2,522,162
		59,246,214	102,133,856
7. Finance and other expenses			
Exchange losses		26,649,004	2,089,197
Term loan interest		13,802,551	13,773,126
Bank charges and commission		2,454,286	3,015,363
Overdraft interest		3,727,617	1,357,463
Interest on import and short term loans		54,439,149	34,606,249
Stamp duty		661,390	171,275
Interest on employee loans		925,366	1,144,635
Lease interest		8,674,802	12,961,023
Loss from sale of property plant and equipment		3,974,151	-
		115,308,316	69,118,331

NOTES TO THE FINANCIAL STATEMENTS

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	Note	2021/2022 Rs.	2020/2021 Rs.
8. Profit before taxation			
Profit from operations is stated after charging all expenses including the followings :			
Directors remuneration		3,292,337	3,590,303
Depreciation and amortisation		87,629,660	78,029,878
Depreciation of right to use assets		27,978,323	20,151,518
Staff costs (excluding defined contribution plan and defined benefit plan)		422,930,735	410,684,537
Defined contribution plan cost		60,286,830	59,724,342
Defined benefit plan cost		11,788,520	19,079,355
Donations		-	144,000
Auditor's remuneration		1,547,438	1,373,125
Legal fees		69,663	1,488,181
9. Tax expenses			
Income tax expense			
Current year	9.1	44,231,148	37,239,260
(Over) / under provision for the last year		(291,143)	4,989,642
		43,940,005	42,228,902
Deferred tax expense			
Origination / (reversal) of deferred tax assets		(17,562,746)	(38,048,787)
Origination / (reversal) of deferred tax liabilities		3,896,093	(5,852,750)
		(13,666,653)	(43,901,537)
Tax expense		30,273,352	(1,672,635)
9.1 Reconciliation of accounting profit and taxable income			
Profit for the year		104,215,066	165,287,758
Current tax expense	27	43,940,005	42,228,902
Origination / (reversal) of deferred tax assets		(17,562,746)	(38,048,787)
Origination / (reversal) of deferred tax liabilities		3,896,093	(5,852,750)
Profit before tax		134,488,418	163,615,123
Tax rates applicable		24% and 18%	24% and 18%
Income Tax at 24% - Services		89,146	18,901,850
Income Tax at 18% - Manufacturing		23,061,136	15,274,335
Total Income Tax for the year		23,150,282	34,176,185
Less: Exempted interest income		5,193,118	6,179,714
Tax effect on disallowable expenses		39,356,346	34,194,851
Tax effect on allowable expenses		(31,357,587)	(27,283,277)
Tax effect on income from other sources and exempt income		(35,612,738)	(42,946,722)
Tax effect on tax profit on disposal of capital assets		(1,472,340)	3,412,707
Tax effect on deferred service income received during the year		44,974,067	29,505,802
Assessable income		44,231,148	37,239,260
Less: Deductions		-	-
Total current tax		44,231,148	37,239,260

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

10. Earnings per share - basic/ diluted

Basic earnings per share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.

	2021/2022 Rs.	2020/2021 Rs.
Amount used as the numerator		
Profit attributable to ordinary shareholders	104,215,066	165,287,758
Amount used as the denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per share - basic / diluted	20.39	32.34
11. Dividend per share		
Dividends per share (paid)	3.00	1.50

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

Note	31.03.2022 Rs.	31.03.2021 Rs.
12. Property, plant and equipment		
Net book value of freehold assets		
12.1	1,393,953,962	1,299,223,082
	1,393,953,962	1,299,223,082

12.1 Freehold assets

	As at 01.04.2020 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfer of accumulated depreciation Rs.	Transfer from CWIP Rs.	Revaluation Rs.	As at 31.03.2021 Rs.
Cost / revaluation							
Land & land development	638,768,000	-	-	-	-	61,409,500	700,177,500
Buildings	290,647,920	5,927,973	-	(19,065,280)	-	(7,665,216)	269,845,396
Plant and machinery	521,522,372	9,838,343	(3,215,043)	-	-	-	528,145,672
Furniture and fittings	19,586,012	705,002	-	-	-	-	20,291,014
Fixtures and fittings	69,219,349	606,338	-	-	3,437,451	-	73,263,138
Office equipment	26,794,339	401,133	(25,192)	-	-	-	27,170,280
Tools	58,200,748	3,466,366	(235,032)	-	-	-	61,432,082
Computer equipment	83,522,658	1,095,898	(759,668)	-	-	-	83,858,888
Motor vehicles	129,022,290	12,069,500	(36,665,837)	-	-	-	104,425,953
On loan asset	1,957,577	-	(29,900)	-	-	-	1,927,677
	1,839,241,265	34,110,553	(40,930,672)	(19,065,280)	3,437,451	53,744,284	1,870,537,600
Cost / revaluation							
Land & land development	700,177,500	-	-	-	-	-	700,177,500
Buildings	269,845,396	15,225,561	-	-	-	-	285,070,957
Plant and machinery	528,145,672	78,319,745	(8,400)	-	-	-	606,457,017
Furniture and fittings	20,291,014	696,284	-	-	-	-	20,987,298
Fixtures and fittings	73,263,138	75,977,064	-	-	-	-	149,240,202
Office equipment	27,170,280	1,774,289	(11,900)	-	-	-	28,932,669
Tools	61,432,082	3,851,910	(69,598)	-	-	-	65,214,394
Computer equipment	83,858,888	4,406,888	-	-	-	-	88,265,776
Motor vehicles	104,425,953	-	-	-	-	-	104,425,953
On loan asset	1,927,677	-	-	-	-	-	1,927,677
	1,870,537,600	180,251,741	(89,898)	-	-	-	2,050,699,443

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

12.1 Freehold assets

	As at 01.04.2020	Depreciation during the year	Disposals during the year	Transfer of accumulated depreciation	Transfer from CWIP	On revaluation	As at 31.03.2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Depreciation							
Buildings	12,098,595	6,966,685	-	(19,065,280)	-	-	-
Plant and machinery	264,962,794	40,928,571	(1,298)	-	-	-	305,890,067
Furniture and fittings	13,610,919	1,233,107	-	-	-	-	14,844,026
Fixtures and fittings	14,932,655	6,972,847	-	-	-	-	21,905,502
Office equipment	17,694,365	1,600,534	(2,520)	-	-	-	19,292,379
Tools	35,260,162	5,115,242	(164,194)	-	-	-	40,211,210
Computer equipment	68,327,678	6,018,920	(759,464)	-	-	-	73,587,134
Motor vehicles	120,570,361	7,274,435	(34,188,272)	-	-	-	93,656,524
On loan asset	1,737,473	220,105	(29,900)	-	-	-	1,927,678
	549,195,002	76,330,444	(35,145,648)	(19,065,280)	-	-	571,314,518

	As at 01.04.2021	Depreciation during the year	Disposals during the year	Transfer of accumulated depreciation	Transfer from CWIP	On revaluation	As at 31.03.2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Depreciation							
Buildings	-	8,320,052	-	-	-	-	8,320,052
Plant and machinery	305,890,067	43,477,811	(1,291)	-	-	-	349,366,586
Furniture and fittings	14,844,026	1,262,127	-	-	-	-	16,106,152
Fixtures and fittings	21,905,502	15,564,323	-	-	-	-	37,469,825
Office equipment	19,292,379	1,564,467	(3,978)	-	-	-	20,852,868
Tools	40,211,210	4,881,333	-	-	-	-	45,092,543
Computer equipment	73,587,134	6,068,857	-	-	-	-	79,655,991
Motor vehicles	93,656,524	4,297,262	-	-	-	-	97,953,786
On loan asset	1,927,678	-	-	-	-	-	1,927,678
	571,314,518	85,436,232	(5,269)	-	-	-	656,745,481

Net book value as at 31.03.2021

1,299,223,082

Net book value as at 31.03.2022

1,393,953,962

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

12. Property, plant and equipment

Revaluation on land and buildings

All Freehold land and buildings of the Entity was valued by Mr.Upali Silva, a professional valuer, except Rathmalana property which was valued by Mr. K. D. Sirisena, a professional valuer on 31 March 2021 and the excess of Rs.53,744,284/- over the net book value as at 31 March 2021 has been credited to the revaluation reserve.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March	Land extent	Building area	No of buildings	Date of valuation	Fair value Rs.
Property, plant and equipment					
Property at Kandy	Perches 18.7	Sq.ft 5,081	1	31.03.2021	80,500,000
Land at Borlasgamuwa	Perches 83.1	-	-	31.03.2021	71,650,000
Property at Galle	Perches 13.24	Sq.ft.12,365	1	31.03.2021	85,000,000
Property at Negambo	Perches 31.1	Sq.ft 1,500	1	31.03.2021	46,488,000
Property at Colombo 06	Perches 39.58	Sq.ft 31,713	1	31.03.2021	457,159,396
Property at Rathmalana 1	Perches 83.41	Sq.ft.29,198	2	31.03.2021	209,584,500
Property at Rathmalana 2	Perches 11.80	Sq.ft.3,654	1	31.03.2021	19,641,000
					970,022,896

Fair value hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

Land and buildings	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
31 March 2021	-	-	970,022,896	970,022,896

The fair value measurement has been categorised as level 3 fair value based on the inputs to the valuation techniques used.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of land and buildings, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - valued at
Property at Kandy	Open market	Price per perch and sq.ft	3,400,000/- per perch and 3,330 per sq.ft
Land at Boralasgamuwa	Open market	Price per perch	862,214/- per perch
Property at Galle	Open market	Price per perch and sq.ft	3,250,000/- per perch and 3,394 per sq.ft
Property at Negambo	Open market	Price per perch and sq.ft	1,400,000/- per perch and 1,965 per sq.ft
Property at Colombo 06	Open market	Price per perch and sq.ft	9,225,000/- per perch and 2,902 per sq.ft
Property at Rathmalana 1	Open market	Price per perch and sq.ft	1,200,000/- per perch and 3,750 per sq.ft
Property at Rathmalana 2	Open market	Price per perch and sq.ft	1,200,000/- per perch and 1500 per sq.ft

Increase/decrease in price per perch/sq.ft have a positive correlation with the fair value of the land and buildings.

The carrying amount of revalued land and buildings if they were carried at cost less depreciation and impairment, would be as follows:

	31.03.2022 Rs.	31.03.2021 Rs.
Land and land development		
Cost	177,269,665	177,269,665
Accumulated depreciation and impairment	-	-
Carrying value	177,269,665	177,269,665
Buildings		
Cost	259,202,247	243,976,686
Accumulated depreciation and impairment	(76,638,440)	(74,335,710)
Carrying value	182,563,807	169,640,976

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

	31.03.2022 Rs.	31.03.2021 Rs.
13. Right of use assets - Buildings		
Cost		
Balance at the beginning of the year	104,352,201	87,947,134
Additions during the year	16,568,931	16,405,067
Disposal during the year	-	-
Balance at the end of the year	120,921,132	104,352,201
Accumulated amortisation		
Balance as at the beginning of the year	44,011,997	23,860,479
Amortisation for the year	27,978,323	20,151,518
Balance at the end of the year	71,990,320	44,011,997
Net book value of the right of use of assets		
	48,930,812	60,340,204
The incremental borrowing rate applied to measure lease liabilities are ranging from 6.8%-13.23%.		
14. Investment property -Market value		
Balance at the beginning of the year	37,000,000	36,000,000
Acquisitions	-	-
Net gain / (loss) from fair value adjustment	5,550,000	1,000,000
Balance at the end of the year	42,550,000	37,000,000
Amount recognised in profit or loss for investment properties		
Rental income from operating leases	-	-
Direct operating expense from property that generated rental income	-	-
Direct operating expense from property that did not generate rental income	965,000	324,000
Fair value gain recognized in other income	5,550,000	1,000,000

Fair value investment property

Investment property at Panadura was valued by Mr.Upali S. Silva, a professional valuer on 31 March 2022 and the excess of Rs.5,550,000 (31 March 2021 : Rs. 1,000,000) over the net book value as at 31 March 2022 has been credited to statement of profit or loss.

As at 31 March	Land extent	Date of valuation	Fair value Rs.
Investment property			
Land at Panadura	Perches 44.9	31.03.2022	42,550,000

The fair value measurement has been categorised as level 3 fair value based on open market valuation technique.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

14. Investment property -Market value

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - valued at
Land at Panadura	Open market	Price per perch	947,661/- per perch

Increase/decrease in price per perch have a positive correlation with the fair value of the land.

	Note	31.03.2022 Rs.	31.03.2021 Rs.
15. Intangible assets - Computer software			
Cost			
Balance at the beginning of the year		22,757,433	19,457,433
Additions during the year		500,000	3,300,000
Disposals during the year		(8,800,000)	-
Balance at the end of the year		14,457,433	22,757,433
Amortization			
Balance at the beginning of the year		17,021,578	15,322,144
Additions during the year		2,193,428	1,699,434
Disposals during the year		(4,757,573)	-
Balance at the end of the year		14,457,433	17,021,578
Net book value		-	5,735,855
16. Financial investments			
Investment in fixed deposits at amortized cost		355,464,697	336,209,251
Other Investments		11,454,000	11,454,000
		366,918,697	347,663,251
17. Inventories			
Raw materials		1,856,452,698	1,119,364,833
Work-in-progress		344,578,646	162,084,933
Finished goods - Manufactured		13,035,304	14,560,793
Goods in transit		27,221,504	16,476,618
		2,241,288,152	1,312,487,177
Less: Provision for damaged and obsolete stock	17.1	(78,559,141)	(49,291,784)
		2,162,729,011	1,263,195,393
17.1 Movement for the provision for damaged and obsolete stocks ;			
Balance at the beginning of the year		49,291,784	40,051,568
Further provisions made		29,267,357	15,606,939
Provisions written back		-	(6,366,723)
Balance at the end of the year		78,559,141	49,291,784

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

	Note	31.03.2022 Rs.	31.03.2021 Rs.
18. Trade and other receivables			
Financial assets			
Trade debtors		283,897,554	304,059,626
Less: Allowance for impairment of debtors	18.1	(40,048,730)	(26,813,886)
		243,848,824	277,245,740
Retention & installment receivables		7,652,840	-
Loans to employees		1,744,442	332,771
		253,246,106	277,578,511
Non financial assets			
Other receivables		44,049,157	15,738,324
		297,295,263	293,316,835
18.1 Movement of the allowance for impairment of debtors ;			
Balance at the beginning of the year		26,813,886	17,113,280
(Reversal of imparment)/impairment loss recognized during the year		13,234,844	10,234,467
Written off by utilising provisions		-	(533,861)
Balance at the end of the year		40,048,730	26,813,886

As at 31 March, the ageing analysis of trade receivables are, as follows ;

	Total Rs.	0 - 30 days Rs.	30 - 60 days Rs.	60 - 90 days Rs.	90-120 days Rs.	Over 120 days Rs.
2022	283,897,554	118,574,042	86,114,466	18,495,241	1,910,343	58,803,462
2021	304,059,626	114,532,212	39,406,604	30,936,221	64,051,899	55,132,690

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

	31.03.2022 Rs.	31.03.2021 Rs.
19. Advances, deposits and prepayments		
Advances	266,757,211	26,588,404
Deposits	14,359,515	13,150,274
Prepayments	13,591,261	9,127,276
	294,707,987	48,865,954
20. Amounts due from related parties		
Abans PLC	527,816,391	364,205,893
Abans Restaurant (Pvt) Ltd	21,442	33,429
Abans Jung poong (Pvt) Ltd	591,501	591,501
Abans Auto (Pvt) Ltd	-	57,140
Abans Engineering (Pvt) Ltd	1,142,109	6,396,209
Abans Finance PLC	109,721	82,538
ABS Courier (Pvt) Ltd	130,481	-
	529,811,645	371,366,710
Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.		
21. Cash at bank and in hand		
Cash in hand	1,097,234	1,451,736
Cash at bank	199,103,419	65,088,875
	200,200,653	66,540,611
22. Stated capital	Number of shares	Value of shares Rs.
As at 31 March 2022	5,110,560	186,732,000
As at 31 March 2021	5,110,560	186,732,000
22.1 Revaluation reserve	31.03.2022 Rs.	31.03.2021 Rs.
Balance at the beginning of the year	483,333,111	412,748,959
Revaluation gain	-	53,744,284
Deferred tax on revaluation surplus	-	16,839,868
Balance at the end of the year	483,333,111	483,333,111

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

	Note	31.03.2022 Rs.	31.03.2021 Rs.
23. Borrowings			
23.1 Long term borrowings			
Term loan	23.3	89,694,005	78,993,837
SLFRS 16 lease liability	23.4	17,614,246	40,431,692
		107,308,251	119,425,529
23.2 Short term borrowings			
SLFRS 16 lease liability	23.4	37,187,567	27,436,662
Term loan	23.3	52,921,488	37,331,452
Import loans		859,228,172	559,679,625
Short term loans		-	75,000,000
Provision for interest		6,329,520	2,422,015
Bank overdraft	23.5	161,212,288	-
		1,116,879,035	701,869,754
23.3 Term loans from banks			
Balance at the beginning of the year		116,325,289	140,695,626
Loan granted during the year		75,000,000	-
Payment made during the year		(48,709,796)	(24,370,337)
Balance at the end of the year		142,615,493	116,325,289
Amount re-payable within 1 year		52,921,488	37,331,452
Amount re-payable after 1 year		89,694,005	78,993,837
23.4 Lease liability			
Balance at the beginning of the year		67,868,354	70,726,278
Addition during the year		16,568,931	16,405,067
Interest cost		6,805,849	9,731,080
Payment made during the year		(36,441,321)	(28,994,071)
Balance at the end of the year		54,801,813	67,868,354
Amount re-payable within 1 year		37,187,567	27,436,662
Amount re-payable after 1 year		17,614,246	40,431,692
23.5 Bank overdrafts			
Sampath Bank PLC		69,265,958	-
Union Bank PLC		28,505,190	-
People's Bank		26,816,842	-
Bank of Ceylon		319,460	-
DFCC BANK PLC		19,381,887	-
Commercial Bank of Ceylon PLC		16,922,951	-
		161,212,288	-

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

23.6 Terms and conditions of borrowing facilities

Facility	Security
Import and hypothecation loans	
People's Bank	- LKR 250.0 Mn mortgage over trade receivables and undertaking of Abans PLC to settle invoices within 60days
Hatton National Bank PLC	- Primary floating mortgage bond for LKR 400.0 Mn over stocks and book debts
Sampath Bank PLC	- Floating hypothecation bond for LKR 362.0 Mn over stocks and book debts
Commercial Bank of Ceylon PLC	- Floating Primary Mortgage for LKR 550.0 Mn over stocks and book debts
DFCC Bank PLC	- LKR 350.0 Mn mortgage over stocks and book debts
Nations Trust Bank PLC	- LKR 150.0 Mn mortgage over stocks and book debts
Term loan facilities	
Commercial Bank of Ceylon PLC	- Floating primary mortgage for LKR 550.0 Mn over stocks and book debts
Short term loan facilities	
DFCC Bank PLC	- LKR 350.0Mn mortgage over stocks and book debts
Overdraft Facilities	
Hatton National Bank PLC	- Primary floating mortgage bond for LKR 60.0 Mn over land and buildings situated at No. 126, Airport Road, Ratmalana
Sampath Bank PLC	- Floating hypothecation bond for LKR 362.0 Mn over stocks and book debts, LKR 20.0 Mn over the company trading Stock
Bank of Ceylon	- LKR 10.0 Mn over the company trading Stock
People's Bank	- LKR 30.0 Mn mortgage over stocks
Union Bank of Colombo PLC	- LKR 30.0 Mn over the company trading Stock
Commercial Bank of Ceylon PLC	- Floating primary mortgage for LKR 550.0 Mn over stocks and book debts
DFCC Bank PLC	- LKR 350.0 Mn mortgage over stocks and book debts
Nations Trust Bank PLC	- LKR 10.0 Mn mortgage over stocks and book debts
Lease Facility	
Commercial Bank of Ceylon PLC	- Mortgage over leased assets
Letter of Guarantee Facility	
Sampath Bank PLC	- Master counter indemnity of the company for LKR 5.0 Mn
DFCC Bank PLC	- LKR 350.0 Mn mortgage over stocks and book debts
Nations Trust Bank PLC	- LKR 150.0 Mn mortgage over stocks and book debts
Forward Exchange Contract	
Hatton National Bank PLC	- Forward Exchange Contracts

Unutilised bank facilities are amounting to Rs. 121.1 Mn overdraft facilities and Rs. 715.1 Mn Import short term loan facilities as at 31 March 2022.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

24. Retirement benefit obligation

	31.03.2022 Rs.	31.03.2021 Rs.
Balance at the beginning of the year	96,038,153	84,617,960
Interest cost	5,573,782	8,292,559
Current service cost	6,214,738	10,786,796
Actuarial (gain) / loss	(16,465,705)	3,801,594
	91,360,968	107,498,909
Less : Payments made during the year	(9,396,892)	(11,460,756)
Balance at the end of the year	81,964,076	96,038,153

The retirement benefit liability of the Company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method". The principal assumptions used in determining the cost of retirement benefits were:

	31.03.2022	31.03.2021
Discount rate	14.60%	6.90%
Expected rate of salary increase	8.00%	5.00%
Retirement age	55 & 60	55 & 60

	2021/2022 Rs.	2020/2021 Rs.
The amounts recognised in the comprehensive income are as follows:		
Current service cost	6,214,738	10,786,796
Interest cost	5,573,782	8,292,559
The amount recognised in the other comprehensive income is as follows:		
Actuarial (gain) / loss	(16,465,705)	3,801,594

Sensitivity Analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation and defined benefit obligation would be ;

	31.03.2022 Rs.	31.03.2021 Rs.
+1% point increase on discount rate	79,139,342	92,218,326
-1% point decrease on discount rate	85,038,787	100,202,764
+1% point increase on salary increment rate	85,589,641	100,615,237
-1% point decrease on salary increment rate	78,588,204	91,771,122

Maturity analysis of the payments

The following payments are expected on employee benefit plan - gratuity in future years.

	31.03.2022 Rs.	31.03.2021 Rs.
Within the next 12 months	19,060,804	17,981,363
Between 1 and 2 years	25,113,922	27,983,489
Between 2 and 5 years	19,352,906	24,892,104
Between 5 and 10 years	12,234,973	17,983,683
Beyond 10 years	6,201,471	7,197,514
Total expected payments	81,964,076	96,038,153
Weighted average duration (years) of defined benefit obligation		
Manufacturing department	7.15	6.06
Service department	2.99	3.69

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

25. **Deferred tax liability**
- Balance at the beginning of the year
Amount originated / (reversed) during the year
- Statement of profit or loss
 - Statement of other comprehensive income
- Balance at the end of the year

Note	31.03.2022 Rs.	31.03.2021 Rs.
	122,472,129	184,123,488
9	(13,666,653) 3,536,524	(43,901,537) (17,749,822)
	112,342,000	122,472,129

- Temporary differences**
- Balance at 1st April 2020
Recognised in profit or loss
Recognised in other comprehensive income
- Balance at 1st April 2021
Recognised in profit or loss
Recognised in other comprehensive income
- Balance at 31st March 2022

Deferred tax liability			Deferred tax asset			Total
Property, plant and equipment	Intangible assets	Investment properties	Right to use asset	Provisions	Retirement benefit obligation	
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
220,719,458	37,881	5,121,620	(1,859,094)	(18,407,140)	(21,489,237)	184,123,488
(4,830,704)	57,974	(1,080,020)	301,276	(38,841,083)	491,019	(43,901,537)
(16,839,868)	-	-	-	-	(909,954)	(17,749,822)
199,048,887	95,855	4,041,600	(1,557,817)	(57,248,223)	(21,908,172)	122,472,129
2,564,093	-	1,332,000	330,848	(16,618,386)	(1,275,208)	(13,666,653)
-	-	-	-	-	3,536,524	3,536,524
201,612,980	95,855	5,373,600	(1,226,969)	(73,866,609)	(19,646,856)	112,342,000

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

	Notes	31.03.2022 Rs.	31.03.2021 Rs.
26. Trade and other payables			
<i>Financial liability</i>			
Trade creditors		139,021,717	126,625,074
Foreign supplier payable		1,107,684,254	418,760,463
Accrued charges		51,621,949	62,243,076
Prepaid employee benefit		117,075	622,080
Other payables		103,523,263	86,418,122
Provision		43,212,674	16,855,996
Import related payables		38,454,581	47,163,526
Advances from customers		354,911,733	95,823,655
		1,838,547,246	854,511,992
<i>Non financial liability</i>			
Excise Duty payable		-	10,419,255
Value Added Tax		166,452	187,445
		166,452	10,606,700
		1,838,713,698	865,118,692
27. Income Tax payable/ (receivable)			
Balance at the beginning of the year		38,238,528	16,029,025
Income Tax for the year	9.1	43,940,005	42,228,902
		82,178,533	58,257,927
Income Tax paid		(43,374,918)	(20,019,399)
Balance at the end of the year		38,803,615	38,238,528
28. Deferred service income			
Balance at the beginning of the year		179,600,853	180,679,644
Deferred service income received		187,401,947	167,881,356
Deferred service income amortized		(140,768,429)	(168,960,147)
Balance at the end of the year		226,234,371	179,600,853
Amount to be amortized within 1 year		181,569,117	163,464,845
Amount to be amortized after 1 year		44,665,254	16,136,008

Deferred service income consists of the income received for under - warranty charges for selected refrigerators, washing machines, air conditioners and solar installations.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

29. Amounts due to related parties

	31.03.2022 Rs.	31.03.2021 Rs.
Abans Environmental (Pvt) Ltd	923,114	476,842
Abans Marketing (Pvt) Ltd	8,518,116	6,620,787
Abans Auto (Pvt) Ltd	63,176	-
AB Securitas (Pvt) Ltd	5,035,657	3,420,249
Crown City Developers (Pvt) Ltd	258,272	274,472
Sirius Technologies Services (Pvt) Ltd	794,991	399,499
Abans Logistics (Pvt) Ltd	3,281,374	2,020,328
ABS Gardner Dixon Hall International (Pvt) Ltd	852,303	448,921
A B Manufacturing (Pvt) Ltd	36,524,105	-
ABS Courier (Pvt) Ltd	-	33,798
	56,251,108	13,694,896

Dues to related parties are payable on demand bears no interest, Further there was no collateral issued.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

30. Related party disclosures

30.1 Details of transactions carried out with related companies.

Name of the related party	Relationship	Nature of transaction	2021/2022 received/ (paid) Rs.	2020/2021 received/ (paid) Rs.
Abans PLC	Significant shareholder	Sales of goods/ services Rent Income	2,876,806,516 1,500,000	1,898,656,519 -
		Reimbursement of warehouse expenses Wharf expenses Purchases / Services	- (14,232,043) (36,602,270)	1,725,000 (13,104,251) (9,424,840)
Abans Marketing (Pvt) Ltd	Affiliate	Rent expenses	(3,000,000)	(2,625,000)
Crown City Developers (Pvt) Ltd	Affiliate	Logistic expense Sales of goods/ services	(233,276) -	(93,160) 59,398,133
Abans Engineering (Pvt) Ltd	Affiliate	Purchases / Services Sales of goods / services	(1,691,096) 6,355,930	(2,965,861) 6,089,910
ABS Courier (Pvt) Ltd	Affiliate	Rent income Courier charges	- (4,362,856)	448,000 (1,313,065)
Abans Finance PLC	Affiliate	Interest income Invest in fixed deposits Sales of goods/ services	9,086,387 - 109,760	10,617,279 (15,000,000) 114,539
AB Securtas (Pvt) Ltd	Affiliate	Security charges	(17,202,232)	(17,429,038)
Abans Environmental (Pvt) Ltd	Affiliate	Cleaning charges Sales of goods/ services	(4,642,459) 75,000	(4,368,145) -
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance Sales of goods/ services	(95,379) 52,904	(1,222,378) 103,188
Abans Logistics (Pvt) Ltd	Affiliate	Purchases / Services Sales of goods/ services	(35,374,602) 70,503	(37,917,639) -
Sirius Technologies Services (Pvt) Ltd	Affiliate	Network maintain Expenses	(7,377,530)	(4,438,878)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

30. Related party disclosures

30.1 Details of transactions carried out with related companies

Name of the related party	Relationship	Nature of transaction	2021/2022 received/ (paid) Rs.	2020/2021 received/ (paid) Rs.
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate	Printing and advertisement, building maintenance expenses Sales of goods/ services	(2,214,646) 1,557	(5,857,064) -
A B Manufacturing (Pvt) Ltd	Affiliate	Sales of goods/ services	97,691,423	-

The balance outstanding as at the reporting date disclosed under note 20 and 29. The above transactions have been carried out in normal commercial terms.

30.2 Recurrent transaction with related parties

Name of the related party	Relationship	Nature of transaction	Aggregate value of the related party transactions entered into during the financial year Rs.	Aggregate value of the related party transaction as a % of net revenue/income	Terms and condition of the related party transaction
Abans PLC	Significant shareholder	Sales of goods and services	2,876,806,516	66%	Normal commercial terms

Other than above transaction, there were no recurrent transactions carried out with related parties during the year where the aggregate value of transactions exceed 10% of gross revenue/income.

30.3 Non-recurrent transaction with related parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets whichever is lower.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

31. Transactions with Key management personal (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the Board of Directors and Chief Executive Officer of the company.

	2021/2022 Rs.	2020/2021 Rs.
Post employee benefits	1,800,000	1,200,000
Short term employee benefits	12,922,200	10,470,000
	14,722,200	11,670,000

32. Commitments

There are no material commitments outstanding as at the reporting date.

33. Events after the reporting period

No circumstances have arisen since the statement of financial position date which would require adjustments to, or disclosure in the financial statements.

34. Contingent liabilities

There were no contingent liabilities as at the end of the reporting date other than Letter of Credit opened with banks favoring suppliers amounting to LKR 954.0Million and the pending litigation as mention below.

Nature of the liability	Case No
Case by Deelima Usuf against Abans Electricals PLC against unlawful termination	LT/44/796/2021

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

35. Business segmental information

The company comprises the following two business segments.

Segment	Products & services					
Manufacturing	Manufacturing, assembling and sale of selected range of consumer durable products and design, installation,maintenance & servicing of rooftop Solar PV systems.					
Service	Installation, repairs and maintenance, including all after sales services, of electrical and household appliances sold by Abans PLC.					
Segmentation analysis is as below;	2021/2022			2020/2021		
	Manufacturing Rs.	Services Rs.	Total Rs.	Manufacturing Rs.	Services Rs.	Total Rs.
Turnover and results						
Revenue - Manufacturing and assembling	2,687,134,456	-	2,687,134,456	1,623,198,146	-	1,623,198,146
- Services	331,693,361	725,689,188	1,057,382,549	272,871,625	664,212,279	937,083,904
- Solar installation	584,654,206		584,654,206	569,435,770	-	569,435,770
Total	3,603,482,023	725,689,188	4,329,171,211	2,465,505,541	664,212,279	3,129,717,820
Profit for the year-before taxation	183,036,744	(48,548,326)	134,488,418	151,105,500	12,509,623	163,615,123
Operating assets and liabilities						
Segment assets	3,822,607,763	1,514,490,267	5,337,098,030	2,310,760,871	1,482,487,024	3,793,247,895
Segment liabilities	3,025,445,129	553,051,025	3,578,496,154	1,661,019,702	475,438,832	2,136,458,534
Other information						
Capital expenditure	163,236,254	17,515,487	180,751,741	22,942,754	14,467,799	37,410,553
Recognition of right of use assets	8,282,086	8,286,845	16,568,931	-	16,405,067	16,405,067
Depreciation and amortization	69,303,067	18,326,593	87,629,660	59,733,707	18,296,171	78,029,878
Amortization of right of use asset	20,267,179	7,711,144	27,978,323	18,610,763	1,540,755	20,151,518
Provision for retirement benefit obligation	2,719,377	9,069,143	11,788,520	6,473,555	12,605,800	19,247,667

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

36. Financial risk management

Financial risk comprises the potential loss to earnings and /or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, Management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for long term borrowings and there by interest rate risk can be reduced. Short term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The foreign supplier payables shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk), credit risk and liquidity risk.

1. Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The company's activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Foreign currency risk

The company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure to foreign currency risk where it has foreign currency transactions which are affected by foreign exchange movements.

The company imports considerable amount of its total product offerings which are subject to the risk of foreign exchange rate increase that would adversely affect cost of purchases.

The pandemic impacted on foreign exchange rates of the country due to loss of foreign currency inflows resulted by the disruption to key sectors that contribute to foreign currency inflows this resulted in an increase of USD exchange rate against the Sri Lankan Rupee to Rs. 299/- as at 31 March 2022.

The Sri Lankan Rupee (LKR) witnessed a sharp depreciation against the US Dollar in March 2022. The company take measures to manage risk of LKR depreciation during the post lock down period through converting foreign currency supplier payments in to local currency bank loans.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

36. Financial risk management

a) Foreign currency risk

As explained above, the company exposed to foreign currency risk mainly from foreign supplier payables.

Sensitivity analysis of the exchange rate risk on foreign supplier payables.

	Foreign exchange value	Currency	Exchange rate Rs.	Rupee value as at 31 March	Exchange rate increase in Rs.1/-	Exchange rate increase in Rs.2/-	Exchange rate increase in Rs.3/-	Exchange rate increase in Rs.4/-
31 March 2022	2,680,896	Dollars	298.99	801,560,970	804,241,866	806,922,762	809,603,657	812,284,553
31 March 2021	1,967,091	Dollars	202.04	397,431,017	399,398,108	401,365,199	403,332,289	405,299,380
Potential loss compared to 31 March 2022 % of loss					2,680,896 0.33%	5,361,791 0.67%	8,042,687 1.00%	10,723,582 1.34%
Potential loss compared to 31 March 2021 % of loss					1,967,091 0.49%	3,934,182 0.99%	5,901,272 1.48%	7,868,363 1.98%
31 March 2022	81,074	Euros	337.08	27,328,522	27,409,596	27,490,670	27,571,745	27,652,819
31 March 2021	123,817	Euros	237.40	29,394,468	29,518,285	29,642,103	29,765,920	29,889,738
Potential loss compared to 31 March 2022 % of loss					81,074 0.30%	162,149 0.59%	243,223 0.89%	324,297 1.19%
Potential loss compared to 31 March 2021 % of loss					123,817 0.42%	247,635 0.84%	371,452 1.26%	495,270 1.68%
31 March 2022	6,255,669	CNY	47.46	296,894,065	303,149,735	309,405,404	315,661,073	321,916,743
31 March 2021	780,120	CNY	30.97	24,161,175	24,941,295	25,721,415	26,501,535	27,281,655
Potential loss compared to 31 March 2022 % of loss					6,255,669 2.11%	12,511,339 4.21%	18,767,008 6.32%	25,022,677 8.43%
Potential loss compared to 31 March 2021 % of loss					780,120 3.23%	1,560,240 6.46%	2,340,360 9.69%	3,120,480 12.92%

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

36. Financial risk management

b) Interest rate risk

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprice in a given period.

During the financial year continuous increase in policy rates and tightening monetary policy by the Central Bank of Sri Lanka to control the rapid inflation in the country.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movements in basis points	Effect on profit and equity	
	2021/2022 Rs.	2020/2021 Rs.
+50	(4,069,604)	(2,087,876)
-50	4,069,604	2,087,876

c) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

The Company is not exposed to equity risk as they do not have equity investments.

2. Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from Company's Cash at bank, trade receivables and amount due from related parties, financial investments at amortised cost.

A review of age analysis of trade receivables and follow-up meetings are carried out by the Finance division with respective business unit managers on weekly basis.

The Company has taken necessary steps to monitor creditors more closely and frequently to ensure that the payables are settled on time.

However, the manufacturing division, produces as per the purchasing plan sent by Abans PLC and most of the sales are to them, therefore 64.87% and 0.25% of their dues as of 31 March 2022 are towards the Abans PLC and to their close related parties respectively. It comprises 65.11% of total receivables as of 31 March 2022. Cash at bank and Fixed deposit balances are maintained with reputed financial institution.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

2. Credit risk

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	Gross exposure		Net exposure	
	As at 31.03.2022 Rs.	As at 31.03.2021 Rs.	As at 31.03.2022 Rs.	As at 31.03.2021 Rs.
Cash at bank	199,103,419	65,088,875	199,103,419	65,088,875
Amounts due from related parties	529,811,645	371,366,710	529,811,645	371,366,710
Trade and other receivables	293,294,836	304,392,397	293,294,836	304,392,397
Financial instruments at amortized cost	355,464,697	336,209,251	355,464,697	336,209,251

Financial asset and financial liabilities carrying value approximate to its fair value.

3. Liquidity risk

This is the risk that the Company will encounter in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. In the management of liquidity risk, the Company monitors and maintains a level of cash and cash equivalents deemed adequate by the management to finance the Company's operations and to mitigate the effects of fluctuations in cash flows. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, finance leases and bank loans. Access to sources of funding is sufficiently available.

In order to minimize the impact on the liquidity position, the company has taken several initiatives which include applying for refinancing and rescheduling arrangements of banking facilities and curtailing of non-essential capital and revenue expenditures and deferment of some capital expenditures and recruitments. The company also taking measures to expedite the debtor recovery process and proactively engaging with suppliers to renegotiate of payment terms to manage the liquidity position.

As disclosed in Note 3(d) the Board of Directors is satisfied that the Company have adequate liquidity and business plans to continue to operate the business and to mitigate the increased liquidity risks arising from the business, for the next 12 months from the date of this report.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2022

Following table represents undiscounted contractual maturity analysis

	Less than 3 months Rs.	3-6 months Rs.	6-12 months Rs.	Total Rs.
Current liabilities				
31 March 2022				
Current liabilities, other than lease liability except deferred income	1,868,823,301	788,895,243	355,741,345	3,013,459,889
Lease liability	9,805,032	9,805,032	17,577,503	37,187,567
	<u>1,878,628,333</u>	<u>798,700,275</u>	<u>373,318,848</u>	<u>3,050,647,456</u>

31 March 2021

Current liabilities, other than lease liability except deferred income	912,701,436	492,328,344	186,455,428	1,591,485,208
Lease liability	6,875,806	7,268,345	13,292,511	27,436,662
	<u>919,577,242</u>	<u>499,596,689</u>	<u>199,747,939</u>	<u>1,618,921,870</u>

	1-3 years Rs.	More than 3 years Rs.	Total Rs.
Non current liabilities			
31 March 2022			
Borrowings	85,944,005	3,750,000	89,694,005
Lease liability -SLFRS 16	14,317,345	3,296,901	17,614,246
	<u>100,261,350</u>	<u>7,046,901</u>	<u>107,308,251</u>

31 March 2021

Borrowings	78,993,837	-	78,993,837
Lease liability -SLFRS 16	37,003,167	3,428,525	40,431,692
	<u>115,997,004</u>	<u>3,428,525</u>	<u>119,425,529</u>

SHAREHOLDER & INVESTOR INFORMATION

01. STATED CAPITAL

As at 31st March	2022		2021	
	No. of shares	Value in Rs.	No. of shares	Value in Rs.
Ordinary voting shares	5,110,560	186,732,000	5,110,560	186,732,000

* Voting rights - One vote per ordinary share

02. STOCK EXCHANGE LISTING

The issued shares of the Company are listed with the Colombo Stock Exchange

03. MARKET VALUE PER SHARE

The transacted values of an ordinary share of Abans Electricals PLC are as follows;

As at 31st March	2022 Rs.	2021 Rs.
Highest Price	275.00	214.75
Lowest Price	127.25	55.00
As at balance sheet date	161.75	159.50

04. MARKET CAPITALIZATION

As at 31st March	2022 Rs.	2021 Rs.
Market capitalization value	826,633,080	815,134,320
Float adjusted market capitalization	319,850,435	314,478,821

* The Company has complied with the minimum public holding requirement under Option 05.

05. PUBLIC HOLDING

As at 31st March	2022	2021
Total number of shares Issued	5,110,560	5,110,560
No of shares held by the public	1,977,437	1,971,815
Percentage of shares held by the public	38.69%	38.58%
No of public shareholders	1,312	1,392

06. DISTRIBUTION OF SHAREHOLDING

Shareholding	31 st March 2022			31 st March 2021		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
1-1,000	1,159	150,666	2.95	1,213	160,402	3.14
1,001-10,000	125	396,281	7.75	153	472,474	9.25
10,001-100,000	26	765,651	14.98	24	672,600	13.16
100,001-1,000,000	6	1,344,895	26.32	6	1,352,017	26.45
Over 1,000,000	1	2,453,067	48.00	1	2,453,067	48.00
Grand total	1,317	5,110,560	100.00	1,397	5,110,560	100.00

SHAREHOLDER & INVESTOR INFORMATION

07. COMPOSITION OF SHAREHOLDING

Category	31 st March 2022			31 st March 2021		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
Individual	1,258	2,338,366	45.76	1,338	2,444,103	47.82
Institutional	59	2,772,194	54.24	59	2,666,457	52.18
Grand total	1,317	5,110,560	100.00	1,397	5,110,560	100.00

08. ANALYSIS OF SHAREHOLDERS

Category	31 st March 2022			31 st March 2021		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
Resident	1,303	5,025,266	98.33	1,383	5,019,296	98.21
Non-resident	14	85,294	1.67	14	91,264	1.79
Grand total	1,317	5,110,560	100.00	1,397	5,110,560	100.00

09. TWENTY MAJOR SHAREHOLDERS OF THE COMPANY

Name	31 st March 2022		31 st March 2021	
	No. of shares	% of issued capital	No. of shares	% of issued capital
1 ABANS PLC	2,453,067	48.00	2,453,067	48.00
2 MRS S. DUBASH	334,628	6.55	334,628	6.55
3 MRS A. PESTONJEE	293,438	5.74	293,438	5.74
4 MR R. PESTONJEE	214,372	4.19	226,872	4.44
5 MR P.N. PESTONJEE	199,952	3.91	199,952	3.91
6 MR B. PESTONJEE	171,505	3.36	182,127	3.56
7 MR A. J. M. JINADASA	131,000	2.56	115,000	2.25
8 HATTON NATIONAL BANK PLC/ KANDIAH KANAPATHIPILLAI SHUJEEVAN	84,644	1.66	94,821	1.86
9 DR K. POOLOGASUNDRAM	72,076	1.41	72,076	1.41
10 PEOPLE'S LEASING & FINANCE PLC/ L.P.HAPANGAMA	55,281	1.08	-	0.00
11 MR S. ABISHEK	51,436	1.01	51,436	1.01
12 MR G.C. GOONETILLEKE	46,475	0.91	46,475	0.91
13 MRS B.S. RASANAYAGAM	43,680	0.85	43,680	0.85
14 SEYLAN BANK PLC/ KARAGODA LOKU GAMAGE UDAYANANDA	41,400	0.81	-	0.00
15 MR A. SITHAMPALAM	31,809	0.62	32,052	0.63
16 TRANZ DOMINION,L.L.C.	31,611	0.62	31,611	0.62
17 MR S.S. SITHAMBARANATHAN	25,901	0.51	-	0.00
18 MR T. LIYANAGE	23,868	0.47	23,868	0.47
19 PEOPLE'S LEASING & FINANCE PLC/ L.H.L.M.P.HARADASA	23,670	0.46	-	0.00
20 MR J.D. JORGE CALDERON	23,344	0.46	23,344	0.46
Others	757,403	14.82	886,113	17.34
Total	5,110,560	100.00	5,110,560	100.00

VALUE ADDED STATEMENT

For the Year Ended 31st March

	2022			2021		
	Manufacturing Rs.	Service Rs.	Total Rs.	Manufacturing Rs.	Service Rs.	Total Rs.
Economic Value Generated						
Revenue	3,603,482,023	725,689,188	4,329,171,211	2,465,505,541	664,212,279	3,129,717,820
Finance Income	964,108	19,265,855	20,229,963	634,832	25,113,976	25,748,808
Profit on Sale of Assets	-	-	-	15,184,071	6,925,338	22,109,409
Other Income	22,320,625	16,695,626	39,016,251	40,561,975	13,713,664	54,275,639
Valuation Gain from Investment Property	-	5,550,000	5,550,000	-	1,000,000	1,000,000
	3,626,766,756	767,200,669	4,393,967,425	2,521,886,419	710,965,256	3,232,851,676
Economic Value Distributed						
Operating Cost	2,945,335,707	443,406,520	3,388,742,227	1,929,255,093	325,747,508	2,255,002,599
Employee Wages and Benefits	316,145,342	344,672,682	660,818,024	281,607,273	327,701,887	609,309,160
Payments to Providers of Funds - Equity	13,002,323	2,329,357	15,331,680	3,832,920	3,832,920	7,665,840
Payments to Providers of Funds - Debt	77,821,938	2,822,182	80,644,120	60,280,429	2,417,432	62,697,861
Payments to Government	43,940,005	-	43,940,005	32,179,729	10,049,173	42,228,902
Community Investment	-	-	-	44,000	100,000	144,000
	3,396,245,315	793,230,741	4,189,476,056	2,307,199,442	669,848,920	2,977,048,362
Economic Value Retained						
Depreciation & Amortization	89,570,246	26,037,737	115,607,983	78,344,470	19,836,926	98,181,396
Profits after Dividends	140,951,195	(52,067,809)	88,883,386	136,342,507	21,279,411	157,621,918
	230,521,441	(26,030,072)	204,491,369	214,686,977	41,116,337	255,803,314

FIVE YEAR SUMMARY

31 st March	2022	2021	2020	2019	2018	
OPERATING RESULTS IN LKR '000						
Revenue	4,329,171	3,129,718	2,986,136	2,870,558	3,492,566	
Gross profit	575,314	473,355	441,348	397,554	392,845	
EBIT	249,797	232,733	202,539	144,017	154,356	
Finance cost	115,308	69,118	77,278	67,470	62,417	
Profit before tax	134,488	163,615	125,261	76,546	91,939	
Tax expense/(reversal)	30,273	(1,673)	38,688	2,202	48,237	
Profit after tax	104,215	165,288	86,573	74,344	43,701	
FINANCIAL POSITION IN LKR '000						
Property paln & equipment (PPE)	1,393,954	1,299,223	1,290,046	1,220,449	966,037	
Non current assets other than PPE	458,400	450,739	429,759	339,385	202,279	
Current assets	3,484,745	2,043,286	1,476,782	1,234,689	1,424,676	
Current liabilities	3,232,217	1,782,387	1,326,524	1,062,520	1,161,260	
Non current liabilities	346,280	354,072	438,588	382,352	252,467	
Shareholders' fund	1,758,602	1,656,789	1,431,475	1,349,651	1,179,265	
Total debt	1,224,187	821,295	623,412	632,088	413,040	
CASH FLOWS IN LKR '000						
Net cash flows from / (used in) operating activities	(46,994)	(125,531)	226,503	55,249	100,903	
Net cash flows from / (used in) investing activities	(179,624)	(9,331)	(127,667)	(273,419)	(16,327)	
Net cash flows from / (used in) financing activities	199,066	188,685	(122,970)	195,772	(29,051)	
Net increase / (decrease) in cash and cash equivalents	(27,552)	53,822	(24,135)	(22,398)	55,525	
KEY INDICATORS						
Basic earnings per share	LKR	20.39	32.34	16.94	14.55	8.55
Dividend per share (Paid)	LKR	3.00	1.50	3.00	2.00	3.00
Interest coverage	No. Times	2.17	3.37	2.62	2.13	2.47
Current ratio	No. Times	1.08	1.15	1.11	1.16	1.23
Gearing (D/D+E)	%	41.04	33.14	30.34	31.90	25.94
Net asset per share	LKR	344.11	324.19	280.10	264.09	230.75
Market price per share	LKR	161.75	159.50	60.30	52.00	84.30
Return on equity	%	5.93	9.98	6.05	5.51	3.71

NOTICE OF MEETING

Dear Shareholders,

The Board of Directors of Abans Electricals PLC has decided to hold its 40th Annual General Meeting (AGM) by way of a Virtual Meeting on 28th September 2022, at 10.00 a.m. following the issuance of guidelines by the Colombo Stock Exchange (CSE) and Legal advice received thereon for hosting of Virtual AGMs for the following purposes:

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2022 and Report of the Auditors thereon.
2. To declare the first and final dividend of Rs 5/- per share for the year ended 31st March 2022, as recommended by the Directors.
3. To re-elect Mr. Kumar De Silva, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Kumar De Silva, as a Director of the Company.
4. To re-elect Mrs. Aban Pestonjee, Chairperson of the company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No.07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act. The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.
5. To retire M/S SJMS Associates (Chartered Accountants) and to appoint Messrs. Ernst & Young (Chartered Accountants) as auditors of the Company and to authorize the Directors to determine their remuneration.

By order of the Board

Sgd.

Varners International (Private) Limited

Secretaries

31st August 2022

Varners International (Private) Limited

Level 14, West Tower, World Trade Centre

Echelon Square, Colombo 01.

METHOD OF HOLDING THE AGM/ELECTRONIC PLATFORM

Only the key officials who are essential for the administration of the formalities of the meeting will be physically present in the venue and all others including shareholders will participate via an online meeting platform. These measures are being adopted to observe “social distancing” requirements to mitigate the dangers of spreading the virus.

REGISTRATION PROCEDURE

Those Shareholders and Proxy holders, who wish to participate via the Online Meeting Platform, should notify the Company of such intention by completing the attached **Registration of Shareholder Details Form**.

Registration of Shareholder Details Form will also be made available on the website of the Colombo Stock Exchange (<https://www.cse.lk/home/market>). Arrangements will be made for shareholders who wish to participate in the AGM via an online meeting platform, with login information being forwarded to shareholders in advance of the meeting.

In order to enable such facilities, shareholders who wish to participate in the AGM via the online meeting platform are requested to forward us their details, by duly completing the annexure 1, (**Registration of Shareholder Details Form**) by way emailing it to the Company emailing address **aelagm2022@abansgroup.com** or send the duly completed form, by post to reach the Company secretaries, **48 hours prior to the time fixed for the meeting** to the below address;

Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04.

APPOINTMENT OF PROXY HOLDERS

Due to the COVID - 19 pandemic and prevailing health and safety guidelines issued by the Government of Sri Lanka, the Shareholders are encouraged to vote by Proxy, by way appointing a member of the Board of Directors to vote on their behalf and to include their voting preferences on the resolutions that are to be taken up at the meeting, which are given in the **Form of Proxy**.

The Form of Proxy is attached herewith and is also available on the website of the Colombo Stock Exchange (<https://www.cse.lk/home/market>).

The Shareholders who wish to appoint a Proxy should duly complete the **Form of Proxy** and include the details of such Proxy holder in the **Registration of Shareholders Details Form** as per the instructions given therein.

The duly completed **Form of Proxy** should be forwarded to the Company by way emailing it to the Company emailing address **aelagm2022@abansgroup.com** or send the duly completed form, by post to reach the Company Secretaries **Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04., 48 hours prior to the time fixed for the meeting.**

QUERIES OF SHAREHOLDERS

Shareholders who are unable to participate at the virtual meeting via the designated online meeting platform are invited to forward their suggestions, questions & concerns (if any) relating to items on the agenda, to the following email address **aelagm2022@abansgroup.com** to reach the Company **48 hours prior to the time fixed for the meeting**, the Board will ensure that they are discussed and addressed at the AGM, if relevant.

FORM OF PROXY

I/We *
of.....
being *a shareholder / shareholders of Abans Electricals PLC, hereby appoint.....
.....of.....
..... bearing NIC No. / Passport No.or failing him/ her*

Mrs. Aban Pestonjee of Colombo or failing her
Behman Pestonjee of Colombo or failing him
Athula Siriwardane of Colombo or failing him
Kumar De Silvaof Colombo or failing him
Dinal Mario Rex Phillipsof Colombo or failing him
as my/our proxy to represent me/us on my/our behalf at the Fortieth Annual General Meeting of the Company to be held on 28th September 2022 at 10.00 a.m by means of audio or audio and visual technology, and at any adjournment thereof and at every poll which may be taken in consequence thereof.

	FOR	AGAINST
1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31 st March 2022 and Report of the Auditors thereon.		
2. To declare the first and final dividend of Rs 5/- per share for the year ended 31 st March 2022, as recommended by the Directors.		
3. To re-elect Mr. Kumar De Silva, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Kumar De Silva, as a Director of the Company.		
4. To re-elect Mrs. Aban Pestonjee, Chairperson of the company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No.07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.		
5. To retire M/S SJMS Associates (Chartered Accountants) and to appoint Messrs. Ernst & Young (Chartered Accountants) as auditors of the Company. and to authorize the Directors to determine their remuneration.		

Signed this day of 2022

Signature/s

Note:

- *Please delete the inappropriate words.
- A shareholder entitled to attend and vote at a General Meeting of the Company, is entitled to appoint a proxy to attend and vote instead of him / her and the proxy need not to be a shareholder of the Company. A proxy so appointed shall have the right to vote on a show of hands or on a poll and to speak at the General Meeting of the shareholders.
- A shareholder is not entitled to appoint more than one proxy to attend on the same occasion.
- Please refer the instructions to complete the form on the next page.

INSTRUCTIONS ON PROXY

INSTRUCTIONS FOR COMPLETION OF THE PROXY FORM

1. To be valid, the completed Form of Proxy should be deposited at **Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04.** or electronic document with e-signature or scan of the signed document emailed to **aelagm2022@abansgroup.com**, with the subject title Abans Electricals PLC AGM not less than 48 hours before the time appointed for the holding of the Meeting.
2. In perfecting the form, please ensure that all details are legible. If you wish to appoint a person other than the Chairman as your Proxy, please fill in your full name and address, the name, address and email address of the Proxy holder and sign in the space provided and fill in the date of signature.
3. The instrument appointing a Proxy shall, in the case of an individual, be signed by the appointer or by his Attorney and in the case of a Corporation must be executed under its Common Seal or in such other manner prescribed by its Articles of Association or other constitutional documents.
4. If the Proxy Form is signed by an Attorney, the relevant Power of Attorney or a notarially certified copy thereof, should also accompany the completed Form of Proxy, if it has not already been registered with the Company.
5. In the case of joint holders, only one need to be signed. The votes of the senior holder who tenders a vote will alone be counted.
6. In the case of non-resident Shareholders, the stamping will be attended to upon return of the completed Form of Proxy to Sri Lanka.

GUIDELINES AND REGISTRATION PROCESS

ABANS ELECTRICALS PLC
GUIDELINES AND REGISTRATION PROCESS FOR THE ANNUAL GENERAL MEETING (AGM)
VIA ONLINE MEETING PLATFORM

Shareholders / Proxy holders who wish to participate in the Annual General Meeting of ABANS ELECTRICALS PLC to be held via an Online Meeting Platform (Virtual AGM), could do so by using a smart phone or a desktop computer.

If a Shareholder/Proxy holder intends to join the Virtual AGM via a smart device, it is necessary for him/her to download the “Zoom Mobile App” onto his /her smart device.

Similarly, if a Shareholder /Proxy holder wishes to attend the Virtual AGM via a Laptop / Desktop computer, the link can be opened by downloading the “Zoom Desktop App” to the respective Laptop / Desktop computer (compatible web browser: Google Chrome).

1. Shareholders who wish to participate in the Virtual AGM of ABANS ELECTRICALS PLC either by themselves or through their Proxies are requested to forward their details to the Company Secretaries as per the attached REGISTRATION FORM.
2. The duly completed and signed REGISTRATION FORM should be delivered to the Company Secretaries, Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04. /E-mail : asanka@varners.lk to be received by the Secretaries by 10.00 a.m. on 26th September 2022. If participation in the meeting through a Proxy, the duly completed and signed FORM OF PROXY should accompany the REGISTRATION FORM.

Note:

If a Proxy is appointed, the information set out in the REGISTRATION FORM pertaining to the Proxy holder should tally with the information indicated in the duly completed FORM OF PROXY submitted by the Shareholder.

3. The Company will verify all registration requests and identification details received as aforesaid, against the details of Shareholders set out in the Shareholders' Register and accept the registrations for the Virtual AGM if it is satisfied with the request and supporting documents (if any).

Shareholders whose registration requests are accepted will receive an email confirmation from the Company acknowledging the acceptance of their request.

4. The Shareholders whose registration requests have been accepted will receive a further email from the Company 24 hours prior to the commencement of the AGM. This email will provide a web link for online registration referred to as “Virtual AGM Registration”. If the Shareholder has appointed a valid Proxy this email will be forwarded to the relevant Proxy holder.
5.
 - (i) The Shareholders / Proxy holders are requested to use the web link, which will be forwarded by the Company as referred to in 4 above and click on the “Virtual AGM Registration” in order to complete online registration for the Virtual AGM.
 - (ii) On clicking the link “Virtual AGM Registration”, Shareholders/Proxy holders will be redirected to an interface where they will be requested to enter their first name, last name, email address, re- enter email address and NIC No. / Passport No. / Co. Reg. No (In entering these details the participants are required to ensure that correct details as included in the REGISTRATION FORM referred to in 2 above are entered in the said online registration process, since any mismatch will be considered as an unsuccessful login)
 - (iii) After successful completion of entering of the details as referred to in 5 (ii) above, the participants are requested to click on “REGISTER” which will be prompted on their screens enabling them to receive the meeting link.
6. The Shareholders who successfully complete their online registration as set out in 5 above, will receive the login link for participation in the meeting referred to as ‘Click here to Join the Virtual Meeting’ and credentials.
7. In order to join the Virtual AGM, participants are required to click on ‘Click here to Join the Virtual Meeting’. In some instances the system call for the credentials and if that is required, please enter the credentials to gain access to the Virtual AGM.
8. On completion of this process, you will be directed to the Virtual AGM Zoom Platform, where you can participate in the Virtual AGM.

GUIDELINES AND REGISTRATION PROCESS

It is recommended that the Shareholders / Proxy holders complete the process outlined in 5, 6, 7 and 8 above and join the AGM at least ten (10) minutes before the start of the AGM. The Online Meeting Platform will be active thirty (30) minutes before the time appointed for the commencement of the meeting.

9. Shareholders /Proxy holders may use the Q & A tab or the Hand Raise (🙋) icon appearing on the screen respectively, to submit their questions or concerns in typed format or verbally. The system will allow a pop-up message to unmute the microphones and to allow video options.
10. After completion of the process outlined in 7 above in respect of all eligible Shareholders and Proxy holders, the Company will forward a separate email to the Shareholders / Proxy holders or representatives (as applicable) who are entitled to vote, providing a separate link to vote on all resolutions included in the Notice of Annual General Meeting dated 28th September 2022.
11. Shareholders / Proxy holders who intend participating in the meeting are requested to open the said link and be prepared to cast their vote when each resolution is taken up for voting by the Chairman. Participants are advised to “REFRESH” the voting page and cast the vote as per their discretion in the given space and click “SUBMIT” enabling the Company to receive the responses.
12. When declaring the voting on a resolution, Chairman will take into account the voting of the Shareholders/ Proxy holders participating virtually
13. 60 seconds will be allocated for Shareholders/ Proxy holders to cast their vote in respect of each resolution.
14. The results will be processed and announced by the Chairman 30 seconds after the end of the time slot allocated for voting.
15. In a situation where a Poll is demanded and Shareholders are required to vote on the Poll, a mechanism similar to that referred to for voting, will be applicable. This will be moderated by the Chairman of the meeting.

It is advised to check the online AGM access at least 3 hours prior and also ensure that your devices have an audible sound system so that you could participate in the AGM comfortably.

Note:

- 1) Shareholders are requested to provide their email address in the space provided in order to forward the Virtual AGM Zoom link & necessary instruction, if they wish to attend the AGM through the online platform.
- 2) In case of a Company / Corporation, the Shareholder Details Form must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association.
- 3) In case of a Power of Attorney, the Shareholder Details Form signed by the Power of Attorney must be deposited at the Registered Office of the Company for registration.

All documents relating to the AGM must be forwarded to the Company Secretaries by post, **Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04.** or by way emailing it to the Company emailing address **aelagm2022@abansgroup.com** 48 hours prior to the time fixed for the meeting. The Notice of meeting, Form of Proxy, and other related documents will also made available on the website of the Colombo Stock Exchange (<https://www.w.cse.lk/home/market>). The Company will endeavor to dispatch the aforementioned documents by ordinary post to the shareholders in due course.

DOCUMENTS ATTACHED

The following documents are attached to this circular to shareholders:

- Notice of Meeting
- Form of Proxy
- Circular to Shareholders giving Guidelines & Registration Process for the Annual General Meeting.
- Online Meeting Registration Form

By Order of the Board of ABANS ELECTRICALS PLC
Varners International (Private) Limited
SECRETARIES

31st August 2022

Varners International (Private) Limited
Level 14,
West Tower, World Trade Center,
Echelon Square,
Colombo 01.

GUIDELINES AND REGISTRATION PROCESS

Annexure 01

ONLINE MEETING REGISTRATION FORM

ABANS ELECTRICALS PLC
ANNUAL GENERAL MEETING 2022
REGISTRATION OF SHAREHOLDER DETAILS FOR ONLINE VIRTUAL MEETING

To: (Company Name & Address)

1. Full Name of the Shareholder:
-
2. Shareholder's Address:
-
3. Shareholder's NIC No. / Passport No. / Co. Reg No.:
4. Shareholder's Contact No.: (Residence) (Mobile).....
5. Name of the Proxy Holder:
6. Proxy holder's NIC No. / Passport No. / Co. Reg. No.:
7. Proxy holder's Contact No.: (Residence) (Mobile).....
8. Shareholder's/ Proxy holder's E-mail:
9. Participation at the AGM via an online platform: YES /NO
10. Name of Joint holder/s (If any): (i)
- (ii).....
11. National Identity Card number/s of Joint holder/s: (i).....
- (ii).....

.....
Shareholder's signature

Date :

.....
1st Joint holder's signature

Date :

.....
2nd Joint holder's signature

Date :

CORPORATE INFORMATION

NAME OF THE COMPANY	Abans Electricals PLC
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (chapter 145 of the legislative enactment of Sri Lanka 1956 revised edition) as a private liability company on the 25 th of November 1981.
REGISTRATION NO	PQ 188 (former registration no. PVS 7974) the Company was re-registered in accordance with Companies Act No. 7 of 2007. on 18 th August 2008.
Stock Exchange Listing	Ordinary shares of the Company were listed with The Colombo Stock Exchange on 7 th March 1983.
Registered Office	No.498, Galle Road, Colombo 03.
Web site	www.abansgroup.com
Directorate	Mrs. A. Pestonjee (Chairperson) Mr. B. Pestonjee Mr. Athula Siriwardane Mr. Kumar De Silva Mr. D. M. R. Phillips
Bankers	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank of Colombo PLC Commercial Bank of Ceylon PLC DFCC Bank PLC Nations Trust Bank PLC National Development Bank PLC
Lawyers	Varners level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
Auditors	SJMS Associates, Chartered Accountants, No.2, Castle Lane, Colombo 04.
Secretaries	Varners International (Pvt) Ltd, Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
Telephone No	011-5776430
Fax No	011-2635157

www.abansgroup.com